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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

IRELAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MARCH 1971

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousands sq.km)	69
Agricultural ar a (average 1961-66) as per cent of total area	67

Population of major cities, with suburbs, 1966 census (thousands):	
Dublin, Co. Borough	650
Cork, Co. Borough	125
Dun Laoghaire, Co. Borough	85
Limerick, Co. Borough	58

THE PEOPLE

Population (April 1970)	2 944 000
No. of inhabitants per sq.km.	43
Increase in population:	
Annual average 1961-70	15 750
Natural increase in population:	
Annual average 1966-70	29 000

Emigration:	
Annual average 1966-70	14 000
Annual average per thousand of population	5
Labour force, total at work, April 1970	1 066 000
Employment in:	
Agriculture, forestry and fishing	291 000
Industry and construction	318 000
Other sectors	457 000

THE GOVERNMENT

Public current expenditure on goods and services, 1970 (as per cent of GNP)	14
General government current revenue 1969-70 (as per cent of GNP in 1969)	32
Public debt, 31st March 1970 (as per cent of central government current revenue 1969-70)	229

Composition of Parliament (March 1971):	seats
Fianna Fail	75
Fine Gael	51
Labour	17
Others	1
Last election: June, 1969	

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP, 1969	33.9
Main exports, 1969 (per cent of total domestic exports):	
Meat and meat preparations	19
Live animals	15
Dairy products and eggs	6
Clothing	6
Textile manufactures	5
Machinery and electrical goods	5
Metal ores and scrap	6
Medicinal products	3
Main customers, 1969 (per cent of total):	
United Kingdom	65
European Economic Community	11
United States	11

Imports:	
Imports of goods and services as per cent of GNP, 1969	42.8
Main imports, 1969 (per cent of total):	
Machinery and electrical goods	19
Chemicals, including fertilizers	9
Textile manufactures	7
Petroleum and products	6
Main suppliers, 1969 (per cent of total):	
United Kingdom	53
European Economic Community	16
United States	10

THE CURRENCY

Monetary unit: Irish pound.

urrency unit per US dollar: 0.417

OECD ECONOMIC SURVEYS

IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development (OECD) was set up under a Convention signed in Paris on 14th December, 1960, which provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The Members of OECD are Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The review of Ireland by the OECD
Economic and Development Review Committee
took place on 4th March 1971.
The present survey has been updated subsequently.

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INTRODUCTION

The expansion of activity slowed down considerably in 1970. The weaker trend was partly due to direct and indirect effects of labour disputes. Industrial production and construction activity were affected by a five months' strike in the cement industry. Investment activity may have been depressed, at least temporarily, by uncertainties about financing possibilities created by the long bank closure. Moreover, there is some evidence that loss of competitiveness caused by the rapid rise in domestic costs and prices may have contributed to the slowdown of the growth of activity; it may also explain why the external current deficit remained high in 1970 despite the slower advance in domestic demand. Activity recovered towards the end of 1970, and prospects for 1971 point to a faster growth than last year. The national wage agreement reached last December, although providing for relatively large increases, may pave the way for more orderly wage determination in the future. But the current external deficit may remain high also in 1971.

Parts I and II of this Survey review recent trends in the economy and the policy measures adopted. Part III considers long-term trends and structural problems and the policies needed to deal with them. Part IV discusses short-term prospects and policy issues and summarises the main policy conclusions of the present Survey.

I RECENT DEVELOPMENTS

Demand

The strong growth of activity experienced in 1967 and 1968 slowed down in the second half of 1969. In the first part of 1970 activity was adversely affected by important labour disputes, but the last months of the year saw a recovery. On a year-to-year basis, real GNP is estimated to have risen by 1½ per cent in 1970, following the 4 per cent achieved in 1969. Even if allowance is made for the adverse effects of strikes, the underlying rate of advance was hardly above 3 per cent last year, i.e. well below the growth of capacity (estimated at some 4½ per cent a year), and some slack developed.

The slowdown of activity was most clearly reflected in investment demand, where 1969's spectacular volume increase of 20 per cent gave way to no growth in 1970. Several factors were responsible for the swing. The public capital programme, which makes up about half of gross fixed capital formation grew less rapidly than the previous year, and certain deliveries of aircraft were deferred. Closure of the cement industry depressed both public and private construction, and subsequent cement sales figures suggest

that the shortfall was not made up in 1970. Investment surveys indicate that slack demand conditions allowed a considerable margin of spare capacity in manufacturing industry to emerge, thus weakening investment incentives. But the strong investment trend in industrial development projects and modernisation schemes continued despite labour disputes, inflationary pressures and unrest in Nothern Ireland. Stockbuilding seems to have been rather low during the bank dispute, but indications of replenishment activity appeared towards the end of the year.

Consumer buying expanded strongly in the first quarter of 1970, with price increases lagging behind growth of incomes and anticipation of an austere April budget serving to shift purhases forward. Judging by retail sales and consumer goods imports, the advance slackened considerably in subsequent months, probably reflecting higher indirect taxation and direct and indirect strike effects. Consumer sales apparently recovered towards the end of the year when normal spending streams were built up as construction operations resumed and as the initial deflationary impact of the bank dispute may have given way, via increases in hire purchase credit, to an expansionary effect. The 10 per cent increase in the value of private consumption in 1970 implied only some 1½ per cent increase in real terms. The 8 per cent year-on-year rise in consumer prices is at the upper edge of international price developments and compares with a 5-7 per cent range in the United States, France, United Kingdom and Italy, and about 4 per cent in Germany. More than 2½ per cent of the rise was accounted for by higher indirect tax rates imposed in part in an attempt to curb an incipient consumption boom.

The moderately strong upward trend of exports of goods and services only partially offset the slackening in domestic demand. The rise in imports

Table 1 Growth of GNP

Per cent volume changes from previous year

	1967	1968	1969	1970	1969-1972[1] average
Consumer's expenditure	3.0	8.5	4½	1½	3.3
Public current expenditure	4.9	6.7	8½	3¾	3.7
Fixed capital formation	6.6	12.1	23¼	–1¼	6.8
Change in stockbuilding[2]	–0.6	1.0	1½	–1¼	
Total domestic demand	2.4	10.7	9	1	4.1
Exports	12.7	10.0	3½	6	9.0
Total final expenditure	5.1	10.5	7½	2¼	5.5
Imports	4.6	17.1	13	3½	8.6
Net factor income from abroad	8.2	17.9	–3½	–2	2.5
GNP	5.4	7.9	4	1½	4.2[3]

1 Third Programme projections.
2 As per cent of GNP.
3 GDP at factor cost.
Source: Irish submission to the OECD.

slowed down markedly, in line with the more moderate increase in aggregate demand. Nevertheless, even though the reduction in the growth rate of imports relative to that of exports was large, it was not enough to significantly reduce the current external deficit.

Taken alone, 1970 would seem to be out of line with the export and investment-led growth pattern envisaged in the Third Programme (see Table 1); and the GNP increase of less than 2 per cent in 1970 falls significantly short of the rates compatible with maintaining high rates of capacity utilisation. Averaging the two past years — which together cover the first half of the target period — evens out the ups and downs, but a shortfall still remains. While the growth of capital formation has been stronger than envisaged, exports have not lived up to expectations.

Production and employment

The volume of production in the transportable goods industries (manufacturing, mining, quarrying and turf production) showed a practically flat trend from mid-1969 until the second quarter of 1970. Growth in industry groups like textiles, chemicals and certain light and medium-sized machinery and equipment suppliers — the backbone of export expansion — was countered by adverse strike effects on the clay, glass and cement groups, and by weak growth elsewhere (e.g., the paper and printing and food groups). Apart from strikes, the slack can be partly attributed to some weakening in competitive position. The subsequent recovery of industrial output permitted industrial production to rise about 3 per cent between 1969 and 1970.

Net agricultural output showed hardly any change in 1970. Weather conditions were not very favourable, but livestock trade and slaughtering was very brisk. As a result of significant increases in beef export prices and the deliberate policy stance of the so-called Beef Cattle Incentive scheme, dairy production actually decreased during the year. Moreover, the prices of agricultural inputs rose rather fast. In the services sector the growth in output slowed down to hardly more than 1 per cent in 1970.

Easing demand pressures were reflected on the labour market. Employment rose at a slightly lower rate than production, resulting in little change in productivity. The rate of expansion of employment in 1970 in non-agricultural activities — notably manufacturing — was not sufficient to absorb the some 12 000 people released from the agricultural sector during the year (Table 2). As there was some natural increase of the labour force, and as net emigration was modest, the unemployment ratio necessarily increased. In fact, since March 1970, monthly unemployment figures have consistently exceeded the figures a year earlier by nearly one percentage point. Such increased overall slack on the labour market does not, in Irish conditions, preclude local and sectoral disequilibria. Despite the high unemployment rate, various studies suggest that a shortage of skilled workers, particularly in areas designated for regional development, still exists.

Table 2 **Employment by sector**[1]

	Thousands 1970[2]	Annual percent changes			
		1961-1968	1969	1970[2]	1969-72[3]
Industry	317	2.3	4.0	0	2.5
Manufacturing	220	2.0	4.4	2½	..
Other	97	3.2	3.0	–5	..
Other non-agricultural	458	1.1	1.3	1	1.2
Agriculture, forestry, fishing	291	–2.6	–3.2	–4	–3.0
Total employment	1 066	0.0	0.6	–¾	0.4
Labour force	1 134	0.0	0.0	½	..[4]
Unemployment ratio, annual average	65[5]	6.0	6.4	7.2	4

1 The figures refer to April of each year.
2 Preliminary estimate.
3 Third Programme projections.
4 Labour force is assumed to stay fairly constant; increase in employment is to be reflected in lower unemployment and net emigration.
5 Live Register total.
Source: Irish submission to the OECD.

The record of labour disputes

By international standards of the 1960's Ireland's record of working days lost through industrial disputes was not very good. This was more often due to a small number of long strikes or lock-outs than to a great number of petty disputes. One factor tending to aggravate the importance of individual disputes has been the practice of picketing working premises so that the number of workers striking have often been significantly greater than the group originally involved in dispute. This record, and notably its persistence, suggests that there is scope for substantial improvements in industrial relations, and that the loose structure of the labour market organisations, modelled according to British pattern, may not be optimal in Irish conditions. The previous pattern continued into 1970. There were not many disputes; but the two main ones, the cement strike and the bank dispute, were long and bitter, with economic and social repercussions.

The cement strike lasted from February 2nd to June 25th, a period of almost 21 weeks. It deprived the building industry of most of the cement normally needed, and at its zenith it was responsible for laying off a substantial part of the building industry's workforce. It has been estimated that the construction industry lost 4-5 per cent of its annual output. This loss, along with associated cutbacks in other expenditures on plant and equipment and with multiplier effects, may have reduced 1970's GNP growth by ½-1 percentage points.

The bank dispute was even longer and was more remarkable in its nature and effects than the "orthodox" cement strike. Its main phase lasted from 1st May — the date all the main commercial banks closed — until October 21st, but banking services were affected by short-term working for two

months before the closure and for 2-3 months afterwards by the huge backlog of work[1].

In this case, the direct effects of the dispute cannot be meaningfully gauged in terms of lost working-days. Inconvenient or annoying as it was, it cannot be blamed for factory shutdowns. The question, rather, is what real effects the obstacles and distortions to normal monetary functioning can have on economic activity.

Because of the dispute, several series of monetary statistics have not been available since early 1970, and the assessment of trends on the basis of available statistics is rendered difficult by distortions. The Government has initiated an inquiry concerned with social attitudes which will try to establish what needs to be done to avoid a recurrence of such conflicts and to safeguard the continuity of essential banking services in future. The Central Bank, with the assistance of the Economic and Social Research Institute, is also undertaking an inquiry to ascertain how firms and individuals managed their finances during the period of bank closure. The first impression, however, is that the economy proved very resilient to the lack of banking facilities. Trade and private credit arrangements were substituted for bank credit. Means of payment were not lacking: Central Bank note issue increased, a large number of cheques circulated from hand to hand, and the amount of British notes in circulation increased as they were not being repatriated through the banking system. Reserves were swollen as export proceeds flowed in while foreign suppliers found themselves granting import credits because of inability to cash import payment cheques[2]. Broadly it can be said, therefore, that payment channels were adjusted to minimize the inconvenience and the proximity of the well-developed British monetary institutions may have helped in this respect.

As regards the impact of the dispute on spending behaviour, retail sales statistics do not support the view that it swelled consumer spending on the basis of unauthorised personal credit. Any such effect seems to have been more than outweighed by the growing reluctance of traders to accept cheques as the closure dragged on and by the hardship imposed on small savers who could not cash their pensions or dividends. The net impact on investment spending was also more likely to have been restrictive. Reluctance or inability of suppliers to extend large-scale trade credit and of prudent firms to extend their commitments against uncertain future income may have outweighed the willingness of the rash firm to expand on the basis of unauthorised credit. But any such tendency was probably reversed when the prospect of the disputes ending encouraged firms to undertake commitments they would have been reluctant to accept earlier. This timing pattern

1 The closure was not complete in the sense that the more specialised financial institutions, the so-called non-associated banks, remained open. These banks are mainly subsidiaries and affiliates of commercial banks and of foreign banks, and they normally cater to about ¼ of the credit market. An important amount of business was diverted to these banks and part of it may not return to the commercial banks.

2 The latter consideration, which became more severe as the conflict drew on and as access to unpaid credit became more difficult, led the Central Bank to devise a scheme in September for special financing of essential imports. The scheme was little used, however, as by this stage the dispute was drawing to a close.

would not contradict observed developments over the course of 1970, with weak demand and employment indicators around midyear but a recovery of demand and imports in the final quarter. It is also possible that the dispute may have favoured a shift in the pattern of capital formation. In the absence of normal deposit facilities, some savings seem to have been directed into building societies, enhancing their lending ability.

Past records would suggest that labour disputes are a costly element in Irish economic behaviour. Any steps which might improve conditions in this respect are, therefore, welcome.The setting up of the Employer-Labour Conference, as agreed upon in May, 1970 (see the chapter on policies below), the introduction of new picketing rules by the ICTU (Irish Congress of Trade Unions), and the discouraging of strikes under the National Wage Agreement may provide the first steps towards a more rational system of industrial relations.

Incomes and prices

For the second year in a row, the pattern of output and productivity was distorted by industrial disputes; earnings rose much faster than output per man and unit labour costs increased sharply, more than in the United Kingdom and other major industrialised countries (see Chart 9). At the same time the average length of the work week declined suggesting short-time working in industry. Similar to the 1969 experience, weekly earnings per man in manufacturing industry in January-September 1970 were some 12 per cent higher than a year earlier (see Table 3) mainly reflecting new agreements which gave increases of 10-15 per cent on an annual basis, but also influenced by the effects of earlier bargains and by wage drift. The increase in real earnings in manufacturing industry was about the same as in 1969.

The pattern for wage determination in the so-called twelfth round of wage negotiations, mainly taking place in 1970, was set by the settlement reached with the maintenance craftsmen in early 1969, after a prolonged

Table 3 **Developments in manufacturing industry**
Annual per cent changes

	1967	1968	1969	1970[1]
Volume of production	7.6	10.0	6.8	3½
Employment[2]	1.6	3.5	5.1	2½
Production per person employed	6.0	6.2	1.5	1
Weekly earnings per man	7.1	8.5	12.1	12½
Labour costs/unit of output	1.0	2.1	10.3	11½
Real earnings[3]	3.8	3.6	4.4	4½

1 Estimate for the first three quarters.
2 Average numbers for year.
3 Weekly earnings deflated by the cost of living index.
Sources: Irish Statistical Bulletin; Irish submission to the OECD.

strike, which gave a 20 per cent increase phased over an eighteen-month period. The size of wage demands increased during the year and evidence up to the third quarter of 1970 would suggest an accelerating trend for average hourly earnings as well. Taking changes in employment into account, the total non-agricultural wage and salary bill may have risen by well over 10 per cent. As smaller increases can be imputed to business profits and farmers' incomes, total national income may have risen by some 10 per cent, of which about 8 per cent would represent higher prices.

Consumer prices were more than 8 per cent above the level of the previous year, 2½ percentage points of this being due to an increase in the turnover tax which came into effect in May. The underlying rate of price increases may well, therefore, have been about the same over the past two years. Import prices exerted no restraining influence on price pressures: both industrial and import prices rose by some 6 per cent in 1970.

Table 4 **Price movements**

Per cent changes from previous year

	1962-67 average	1968	1969	1970
Products of agriculture	2.9	10.2	2.8	5.9
Output of industry	3.5	4.5	7.0	5.3
General wholesale index	3.1	6.0	7.2	5.3
Consumer prices	4.1	4.7	7.4	8.2
of which: food	3.1	5.7	6.0	7.7
alcoholic drink and tobacco	6.8	4.2	11.3	6.6
household durables	2.8	2.0	7.3	8.1

Source: Irish Statistical Bulletin.

Foreign trade

After some hesitation in the previous year caused, inter alia, by sluggishness of agricultural exports to the United Kingdom, commodity exports recovered their underlying strong upward trend in 1970. The main contribution to export growth came from a wide range of industrial goods (textiles, light and precision machinery, chemical products, etc.), although large increases were also recorded for meat and dairy products and exports of ore. The share of industrial products in commodity exports has advanced steadily in the 1960's and exceeded the 50 per cent mark in 1970. Sales to the United Kingdom, which account for two-thirds of total exports and form an important outlet for Irish agricultural produce, accelerated sharply from the previous year, although still not attaining the buoyancy of exports to the EEC (see Table 5). There was no substantial recovery in the sales of live animals, but this was more than compensated by increased sales of beef and dairy products at higher prices.

Table 5 **Merchandise exports and imports***
Annual per cent changes

	1968	1969	1970[1]	Share in 1970 per cent[1]
Volume of exports	9	5	8	
Export unit values	7	6	7	
Value of exports	16½	11½	16	100
of which to:				
UK	12	5	17	66
Other EFTA countries	28	51	26	2
EEC	22	39	21	12
North America	24	20	14	12
Other	38	18	7	8
of which:				
Agricultural, etc., produce	7	6	11	44
Industrial products	30	18	20	51
Unclassified	11	–4	23	5
Volume of imports	17	11	6	
Import unit values	8½	4	6	
Value of imports	26½	15½	13	100
of which from:				
UK	29	21	13	53
Other EFTA countries	45	56	13	6
EEC	41	13	17	16
North America	13	3	5	9
Other	14	2	10	16
of which:				
Finished capital goods	24	31	13	16
Finished consumption goods	32	16	14	24
Other[2]	25	11	12½	60
Terms of Trade 1967 = 100	99	101	102	

* Excluding trade between Shannon Free Airport and other countries (£ 37 million, or about 8 per cent of exports in 1970), and imports from Shannon to rest of State (£ 22 million).
1 Based on provisional figures.
2 Mainly goods for further processing by industry.
Source: Trade Statistics of Ireland.
NOTE Import figures exclude unusually high imports of aircraft and ships (£ 17½ million in 1969 and £ 7½ million in 1970).

The value of exports grew by some 16 per cent in 1970 with price rises accounting for about half the growth. In fact, the increase in Irish export prices in 1970 was among the highest in OECD countries. Despite general rapid inflation throughout the OECD area, there were indications that Irish export prices — through their rise decelerated over the year — had attained in the second half of the year a level where some sectors had difficulty in remaining competitive.

The volume of merchandise imports, which surged upwards in the two preceding years, settled back to a more moderate path in 1970.The upward trend was most marked in consumer goods in the first half of the year. In real terms, they rose at a 6-7 per cent annual rate — faster than consumers'

expenditure in general — suggesting that, because of relative price movements, there may have been some substitution in 1970 in favour of imported goods. Capital goods imports were rather depressed through the first three quarters of the year, but recovered thereafter. The earlier recovery of imports of raw materials and intermediate goods lends support to the view that an upturn in economic activity had got underway in the final quarter of the year. The cut in import tariffs under the Anglo-Irish Free Trade Area Agreement[1] helped the United Kingdom to maintain its share in Irish imports against the general trend towards a wider geographic spread.

Balance of payments

Although the underlying rate of expansion has been kept in check by inflation and by the disturbances in Northern Ireland, available statistics of passenger movements suggest that 1970's surplus on tourism may be of the same order as that of the preceding year. Net exports from Shannon's duty-free airport, transportation receipts and commission earnings of import agents are estimated to have been rising; but the increase in other invisible receipts was modest and the bank dispute led to some extra expenditure on overseas financial services.

As the trade deficit was approximately £223 million as against £218 million in 1969, and the growth in net invisibles was of the order of £12 million, the current deficit (including errors and omissions) in 1970 was £62 million ($150 million representing some 4 per cent of GNP), £7 million ($17 million) less than in 1969.

The fact that the current account deficit would remain essentially unchanged in a year of slack domestic demand and fair export performance may appear somewhat surprising. Conceding the great margin of uncertainty as to the exact composition of the current balance, several partial explanations can be advanced. In the first place, the level or merchandise imports is so much higher than that of exports (cif imports of £654 million, against fob exports of £431 million in 1970) that one percentage point growth of both means an import excess of £2 million. The increase in import prices alone added nearly £40 million to the import bill in 1970. Some import substitution on account of price competitiveness can also be detected. Moreover, the deficit has been swollen in the last two years by exceptionally high imports of aircraft and ships. There can also be variations in timing which are not functionally related to national accounting estimates by calendar years and which can be only roughly

1 The Anglo-Irish Free Trade Area Agreement of 1965 gave certain guarantees of entry to the United Kingdom for Irish agricultural products and provided, inter alia, for successive 10 per cent annual reductions in Irish import duties for industrial products up to 1975. For Irish industrial products, a great part of which already enjoyed free access to the UK market, the remaining tariffs (mainly affecting textiles) were removed in 1966. The agreement has undoubtedly helped maintain a high level of Irish industrial exports to the UK; but it has also clearly helped British exports to Ireland which virtually doubled since 1965. The increasing pressure on Irish import-competing industries has been foreseen for some time and has motivated various recommendations by the Committee on Industrial Progress for industry-wide rationalization. The agreement provides for the Irish Government to undertake a thoroughgoing review at the half-way stage (now currently in progress) of any difficulties experienced by Irish industry.

Table 6 **Balance of Payments**
$ million

	1966	1967	1968	1969	1970
Merchandise exports fob[1]	745	846	854	950	1 090
Merchandise imports fob[1]	1 006	1 033	1 123	1 337	1 480
of which: ships and aircraft	—	—	—	42	19
TRADE BALANCE	–261	–187	–269	–387	–390
Travel	93	107	95	96	
Transportation[3]	–42	–42	–47	–60	
Investment income	49	51	58	54	
Other services	15	16	17	19	
Services net	115	132	123	109	
Transfers net	74	79	84	87	
CURRENT BALANCE	–72	24	–62	–191	–150[2]
Long-term capital	122	78	64	75	
Private	70	73	59	46	
Official	52	5	5	29	
BASIC BALANCE	50	102	2	–116	
Short-term capital	34	–157	104	262	
non-monetary[4]	23	–82	–32	129	
monetary	11	–75	136	133	
Allocation of SDRs	—	—	—	—	13
NET RESERVES (+ = increase)	84	–55	106	146	5
Gold and currency assets	95	–66	69	136	20
Reserve positions in IMF	–11	11	37	10	–28
SDR holdings	—	—	—	—	13

1 Merchandise trade adjusted for balance of payments presentation. Imports have been reduced by 8 per cent representing the estimated cif-fob margin.
2 Estimate including errors and omissions; on the same basis, the deficit in 1969 would be $ 166 million.
3 Transport payments include 8 per cent of imports as an approximation of the freight content of imports.
4 Including errors and omissions.
Sources: Irish submission to the OECD; IMF, International Financial Statistics.

approximated by estimates of stockbuilding. Nevertheless, it is important to note that, starting in 1968, the propensities to import consumer goods, raw materials, and finished capital goods all seem to have shifted permanently to a higher level. Considering the process of rapid industrialisation and modernisation which is taking place, this is not surprising. More sophisticated consumer preferences, as well as a more elaborate technological structure of industry, are likely to cause a rise in the marginal propensity to import, and it may take more time than envisaged in national plans for the benefits of export-led industrialisation to outweigh this import drain.

Capital movements in 1970 are particularly difficult to assess and identify, as the data are either still lacking or distorted by the effects of the bank dispute. There was evidently a substantial net capital inflow, in the form of trade credits to importers and cheques accepted on closed banks, over most of the year. These inflows were reversed in the closing weeks of 1970 (and early 1971) when a large volume of uncleared cheques was

presented for payment by foreign suppliers. The estimated current deficit for the year, some $150 million, seems nonetheless to have been more than covered by capital inflows — a large part of which were of a relatively stable nature — with little change in the reserve position. A considerable part of the import of capital took the form of long-term borrowing by the Government and by State-sponsored bodies. Judging by the record of industrial development, direct productive investment in Ireland may have had a sizable share in the unidentified private capital inflow.

II ECONOMIC STRATEGIES

Incomes and inflation

Economic policy, traditionally geared to longer-term growth commitments and industrialisation targets, has, since 1969, been increasingly concerned with inflationary developments and their implications for the external balance. With stagnating production appearing alongside a price and wage explosion, conditions became even more difficult in the course of 1970. As inflation could not be explained by the pressure on resources, measures aimed only at overall demand restraint would have been costly in terms of resource utilisation and would still not have got at the root of the matter. Even though a good case could be made for holding down the growth of public expenditure — which certainly had been a factor in building up demand pressures in recent years — over the longer term it was evident that demand restraint should be supplemented by other measures, notably incomes, manpower, and productivity policies.

Concern over wage agreements greatly exceeding productivity increases prompted the Government, as early as December 1969, to recommend a 7 per cent norm for maximum increases in the 1970 instalment of new pay agreements, and to announce its intention of disallowing price increases due to wage increases in excess of the norm. But, with no statutory backing, the norm had little effect on settlements which continued to show annual increases of about 15 per cent.

The problem of translating the principles of voluntary and co-operative increases due to wage increases in excess of the norm. But, with no statutory what kind of administrative framework would be needed for the purpose was thoroughly discussed by the National Industrial Economic Council[1] (NIEC). The NIEC report in the spring of 1970 emphasized that the policy, to be effective, should embrace all categories of income, and the NIEC called for an explicit commitment by the parties concerned to the aim of creating general understanding of the need for an orderly relationship between incomes and output and an environment which would provide incomes and prices policy with fair prospects for success. The report further suggested that the NIEC itself, in accordance with its terms of reference, lay down general guidelines for increases in money incomes; that a new body representative of

1 The National Industrial Economic Council is an advisory body representative of the public sector, trade unions and employers.

employees and employers (including the State — but only as employer) be set up to translate the guidelines into operational terms and as a forum for discussion; and that the terms of reference of such existing bodies as the Labour Court, the Fair Trade Commission and price control authorities be revised so as to maintain an effective investigatory machinery for individual cases.

The NIEC recommendations were sent to the relevant labour market organisations to serve as a starting point for discussions. An Employer-Labour Conference which included representation of the State in its capacity as employer was set up, and it immediately turned its attention to the possibility of arriving at a national agreement regarding the terms on which new settlements should be made when existing agreements expired. But with the upward trend of incomes continuing unabated and with the breakdown of discussions at the Employer-Labour Conference, the Government decided, in October 1970, to introduce statutory income controls. An upper limit of 6 per cent was to be respected for all increases in pay resulting from new agreements or from instalments due up to the end of 1971. Price increases were to be correspondingly controlled, and wage rises above the norm were not to be considered justification for a price rise. Severe union opposition soon brought a modification which excluded increases still due under the current 12th round wage agreements. Reference to a specific ceiling was also dropped, but a Prices and Incomes Bill was introduced in the Dáil (Lower House of the Parliament) which would empower the Government to limit wage increases by order. This legislation was also dropped in December after the employers and trade unions had reached a voluntary national agreement on general pay levels for the next 18 months.

The agreement covers the 13th national wage round which starts in January 1971. (The starting dates of individual agreements may, depending on the industry, be as late as 1972.) — It limits weekly wage increases over the year following termination dates of 12th round agreements to a flat £2 rate for men and at least 85 per cent of this for women. Over the following six months (beginning January 1972 for those with the earliest agreements) there is to be a 4 per cent increase plus a cost-of-living bonus for every percentage point increase over 4 per cent in the consumer price index during the initial 12-month period. The parties to the Employer-Labour Conference also pledge themselves by the agreement to meet in January 1972 to review the terms and operations of the agreement[1]. Even though no commitment is implied, and even if this is still somewhat short of the institutional machinery envisaged by the NIEC, it may prepare the ground for practical steps towards further co-operation in the field of incomes policy.

It is estimated that the national agreement will push wages up by some 10 per cent in 1971; earnings may rise rather more on account of higher earlier settlements and wage drift. The usefulness of the consensus reached may, therefore, be questioned on the grounds that it is still clearly in excess of any conceivable growth of productivity (though below the increases in incomes in 1969 and 1970). But if industrial peace can be maintained by

1 In the meantime the Steering Committee of the Conference is meeting regularly every month to review matters coming within the terms of reference of the Conference.

adherence to the agreement, overall productivity is likely to rise more rapidly and the result need not compare unfavourably with the alternative of combating wage pressures by tougher employer resistance and restraint of demand resulting in industrial disputes and depressed output and productivity. The potentially long time-span of the agreement is obviously related to the introduction of the escalator clause — otherwise not frequently used in Ireland — designed to safeguard wage earners against shifts in income distribution. The clause is likely to limit the choice of policy instruments available to the Government — for example a rise in indirect taxes might well be regarded by wage earners as a justification for demands for further pay increases. The relative merits of indexation can only be judged with experience, and against the background of feasible policy alternatives.

Budgetary stance

The financial year 1969-70 had seen a sharp rise in central government spending, both current and capital, necessitating a rise in government borrowing. The initial budget for financial year 1970-71 provided for a reduction in the rate of growth of both current and capital public spending. Taken as a whole, however, the budget did not attempt a severe curb on demand. The rate of turnover tax was doubled (from 2½ to 5 per cent), but the extra revenue was fully matched by the cost of income tax relief for lower income levels, social welfare improvements, and increases in agricultural support. The public capital programme was to be financed by borrowing to a greater extent than previously.

Projections in the autumn of 1970 showed that the rise in non-capital public expenditures, as a result of wage and price increases, was outpacing revenue estimates so that, without corrective measures, a current deficit of some £21 million (or almost 5 per cent of expenditures) was likely. A supplementary budget, presented in October, was designed to reduce these potentially inflationary tendencies by moderating further the expansion of public expenditure and cutting the likely deficit. A review of current spending was made, securing economies of £7 million, and additional tax increases were announced to the extent of £5 million[1]. The residual deficit was to be met by borrowing. Capital spending was also subjected to critical review, so that the outcome for 1970-71 would, if anything, fall short of the original estimates. Taking account of these latest changes, the two most dynamic fields in the public capital programme are building and construction and industry (see Table 7). Reconciling these figures with those of pre-

1 Taxation of companies was raised from 50 to 58 per cent by disallowing the deduction of corporation profits tax in computing income tax liability; the rate of wholesale tax was raised from 15 to 20 per cent on a number of 'luxury' commodities; and the so-called road tax on private vehicles was raised by about one-fourth. The total revenue effect is estimated as follows:

	Increases in yield, £ million	
	In 1970-71	In a full year
Taxation of companies	3.5	6.0
Wholesale tax	0.9	3.2
Road tax	0.9	2.1
	5.3	11.3

liminary national accounts data for calendar years (Table 1, or statistical annex Table A) suggests that the private part of capital expenditure in 1970 was indeed quite low.

Table 7 **Budget 1966/67-1970/71**
£ million

	Actual				Estimated
	1966-67	1967-68	1968-69	1969-70	1970-71
A CURRENT BUDGET:					
Receipts:					
Tax Revenue:					
direct	78.1	88.1	101.1	115.9	139.9
indirect	143.5	159.9	181.2	221.7	258.2
Motor vehicle duties	10.4	11.6	12.7	13.4	15.7
Total	232.0	259.6	295.0	351.0	413.8
Other	40.8	45.8	50.5	60.0	68.5
Total	272.8	305.4	345.5	411.0	482.3
Expenditures:					
Service of public debt	56.5	63.7	75.9	88.8	101.6
Social services	93.1	102.9	118.7	144.2	177.5
Economic services:					
Industry	4.8	6.6	7.5	9.2	11.1
Agriculture	40.8	53.3	60.0	70.8	77.8
Other	14.3	15.2	17.0	17.5	23.1
General Services	44.1	46.4	51.2	58.2	73.2
Other expenditure (net)	17.0	18.9	20.5	22.8	26.7
Total	270.6	307.0	350.8	411.5	491.0
Deficit (—) or Surplus (+)	+2.2	–1.6	–5.3	–0.5	–8.7
B CAPITAL BUDGET:					
Sources of finance:					
Local authorities and state bodies	33.2	34.8	51.4	63.8	75.6
Exchequer	77.7	85.8	129.8	121.7	146.4
Total	110.9	120.6	181.2	185.5	222.0
Expenditures:					
Public capital programme:					
Building and construction, ports, etc.	36.8	43.7	51.6	59.2	65.0
Agriculture, forestry, fisheries	19.0	20.7	23.3	25.1	25.4
Industry	10.7	12.6	18.9	27.7	34.3
Fuel and power	14.5	14.6	18.9	20.4	23.5
Transport and communications	15.4	17.3	26.0	37.8	41.2[1]
Tourism and miscellaneous	1.2	1.5	2.2	3.2	3.3
Total	97.6	110.4	140.9	173.4	192.7
Other[2]	13.3	10.2	40.3	12.1	29.3
Total capital expenditure	110.9	120.6	181.2	185.5	222.0

1 Includes £ 23,5 million for payments on aircraft (£ 21 million in the previous year).
2 Includes the financing of current budget deficits.
Sources: Budget documents 1966-1970 and Irish submission to the OECD.
NOTE The fiscal year runs from 1st April to 31st March.

Programme budgeting

Another feature of public policy — related to, but much broader than, the use of fiscal policy for demand management — is worth highlighting: the progress made in multiannual programme budgeting in government finances.The aim is to arrive at 5-year programme budgets so as to give a longer perspective to decisions affecting the allocation and management of public financial resources. As a first step towards this goal, current and capital central government expenditure is projected 3 years ahead. These projections — rolled forward annually — will be used to secure forward control over expenditures and will be further extended and developed as programme budgeting becomes fully operative. Broadly speaking the intention is to seek optimal combinations of objectives and resources so as to minimize waste. Apart from providing better information for decision-making, the programme budget serves to improve forward resource allocation and management control. For this purpose, the activities of selected government departments are being subjected to critical, comprehensive review with the aim of clarifying their policy objectives and output, and quantifying them in operational terms. Programme budgets are in various stages of development for several departments; it is hoped that all departments will be participating by the end of 1972/73 and that the concept will be operational in all central government services by 1975/76.

It is too early to judge the effectiveness of the effort. Given, however, the important role of Government in so many aspects of Irish economic and social life, efforts made to increase efficiency in government spending could turn out to be a very productive investment. The Irish approach is interesting and may deserve attention on international forums. It represents one possible approach to the call of the Secretary General of the OECD for "intensified efforts to identify and eliminate inefficiency and waste throughout the public and private sector"[1].

The monetary scene

Shortly before the Budget presentation in March 1970, the Central Bank issued its new credit advice for the policy year ending in April 1971. In order not to aggravate demand pressures, the increase in domestic lending by the Associated Banks was not to exceed £27 million (about 12 per cent of outstanding credit); the inflow of external capital through other financial institutions was not to exceed £20 million (one-half of the 1969 inflow); hire purchase institutions were not to increase their lending, nor to incur more foreign debt. Hire purchase regulations had already been tightened in January 1970. The Central Bank assessment was based on a projected 10½ per cent growth of nominal GNP in 1970 (which happens to be much the same as the estimated outcome for 1970) and on a view that this monetary stance would contribute to some reduction in the current external deficit.

The Central Bank directives were overshadowed by events. Because of the bank dispute, statistics on associated bank lending and resources disap-

1 *Inflation, the present problem.* Report by the Secretary General, OECD, Paris, December 1970.

peared from February 1970, and the interpretation of the non-associated bank data was rendered difficult by distortions. It may turn out that the growth of advances has been greater than anticipated, but even if certain figures can be established retroactively they can hardly be judged by the criteria of normal credit conditions. The non-associated banks had an unexpected increase in their deposits between April and November, facilitating a reduction in their net external liabilities rather than the net inflow of capital originally planned. Their lending also grew, but it undoubtedly contained a substantial element of "bridging finance" (short-term credit against Associated Bank cheques which could not be cashed). Similar technical factors caused the recorded increase in instalment credit to be overstated; the underlying trend is estimated to have been weaker than in 1969. While total Irish currency in circulation fluctuated sharply, there was hardly any shortage of means of payment. The level of external reserves was artificially swollen during the dispute and issue of notes by the Irish Central Bank increased accordingly; an unusually large number of cheques circulated among the public; the amount of British notes in circulation increased as the usual repatriation through banking channels did not take place; and foreign suppliers were sometimes unable to collect payments due to them.

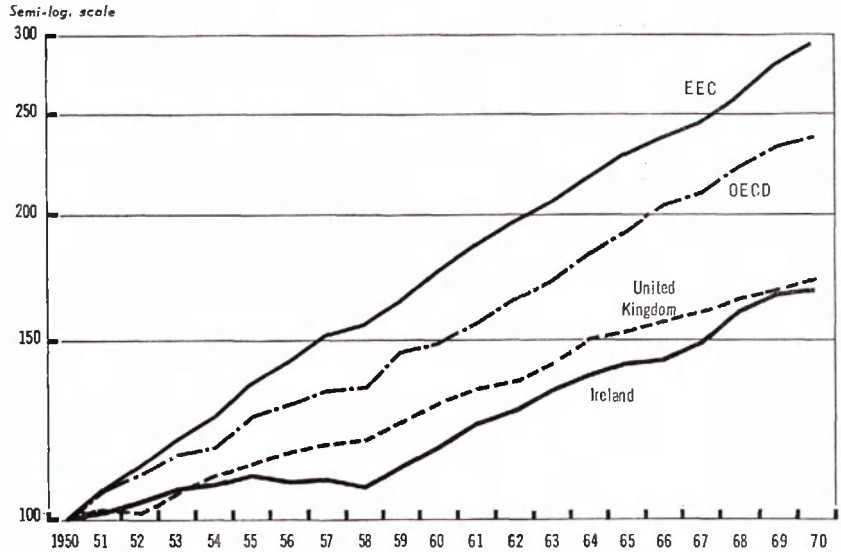
III STRUCTURAL CHANGE IN IRELAND

The economic background

A combination of historical forces hostile to industrial development and shortages of key raw materials prevented Ireland from undertaking any serious and sustained drive toward rapid economic progress until the 1950s. The results of the early efforts were disappointing, however. Despite relatively little growth and increased emigration in the early 1950s, inflationary forces and a worsening of the underlying deficit on the balance of payments forced severe deflationary action in 1956-7. But the experience brought a realization that if employment and living standards were to be increased and emigration reduced, first priority would have to be given to removing the balance of payments constraint on growth. Policy was re-orientated to stimulate export-led growth, with the emphasis laid on freeing trade, giving incentives to exports and fixed investment in industry, and on expanding capital formation through the public capital programme. Since 1958, such measures and a wide range of supporting policy initiatives have been co-ordinated within the framework of a series of medium-term plans (Programmes for Economic Expansion).

The response to the policy changes was, by earlier standards, encouraging. A period of more sustained and relatively rapid growth began in 1959. Although export demand, particularly from the United Kingdom, provided much of the initial stimulus, the new programmes and policies helped direct output towards exports and investment and enabled the more rapid growth of output and employment to be maintained. In real terms, GNP at market prices grew by an average annual rate of nearly 4 per cent

Chart 1 The growth of real GNP



GNP at 1963 market prices and exchange rates is expressed as an index with 1950 = 100.
Sources : Up to 1968, " National Accounts of OECD Countries, 1950-68 ", OECD 1970 ; 1969-70, National submissions to OECD and OECD Secretariat estimates.

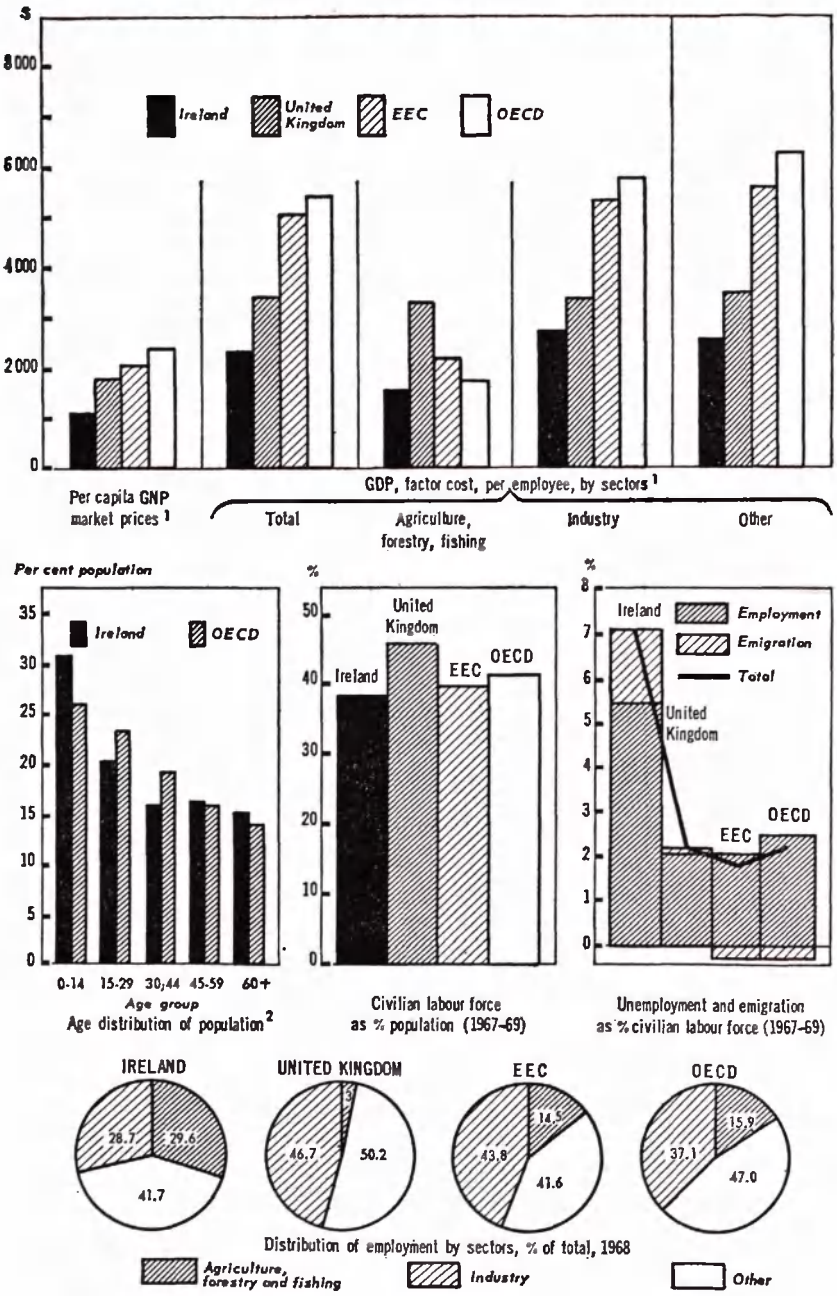
during the 1960s, against less than 2 per cent in the previous decade. The expansion was accompanied by an accelerated growth of employment and a fall in the rate of emigration. Nevertheless, the Irish growth rate through the 1960s remained below the OECD average, and, given the lower initial level in Ireland, real incomes fell further behind those in other member countries (Chart 1).

The current setting

Despite the improvements of the 1960s, output per employee is below the OECD average in all three principal sectors of the economy, and agriculture (where output per head is lowest) remains a major industry accounting for upwards of thirty per cent of total employment. In addition, an unusually high proportion of dependants means that the civilian labour force is small in relation to the total population; and the lack of employment opportunities, besides contributing to the low participation rates, is reflected in high levels of unemployment and emigration in relation to the civilian labour force. These factors combine to hold per capita incomes well below the OECD average (Chart 2).

An important feature in the current situation is the diminishing, but continuing, influence of the United Kingdom on attitudes and developments in Ireland. Firstly, Irish workers make ready use of their freedom to seek

Chart 2 Output and employment



1 $, current prices and exchange rates, 1968.

2 The age structure of the OECD population has been estimated by weighting the structure in individual countries at the latest census date (usually 1966 or 1967) by their total population in 1967.

Sources : " National Accounts of OECD Countries, 1950-68 ", OECD 1970 ; " Labour Force Statistics, 1957-58 ", OECD, 1970 ; " UN Demographic Yearbook, 1968 ", United Nations Organisation.

employment in the United Kingdom, and this movement between the two countries has demonstration effects on domestic wage claims, income and consumption patterns, and the demand for social services; in addition, the tax structure cannot ignore the relative incidence of the direct personal tax burden in Ireland and in the United Kingdom. Secondly, whilst the high proportion of GNP devoted to foreign trade is not unusual for a small country[1], about sixty per cent of merchandise trade is currently carried out with the United Kingdom. Thirdly, there is a close interrelationship between the two financial systems[2]. Finally, incentives given to foreign investors are in direct competition with those offered in Northern Ireland.

The goals of economic policy

The major medium-term aims of Government economic policy, as expressed in the terms of reference of the National Industrial Economic Council (NIEC), are "the realisation and maintenance of full employment at adequate wages with reasonable price stability and reasonable long-term equilibrium on the balance of external payments". The NIEC, in its 1967 report on full employment[3], explored what it called the "arithmetic of a full employment policy" and concluded that, if the goal were to be reached by 1980, real GDP would need to grow by an average annual rate of 5¼ per cent. On these grounds, it would be desirable to accelerate economic growth from the annual rates of 4 per cent achieved in the 1960s and envisaged for the period 1969-72 in the Third Programme. Considering the high proportion of output which takes the form of traditional agricultural production, such an acceleration would imply further far-reaching changes in the structure of the economy. The following paragraphs explore some of the problems which may be posed by more rapid growth and structural change in the light of experience gained over the last decade.

Output and employment

The growth of output in the 1960s was led by the industrial sector and the slow increase in overall employment masked a rapid switch of labour from agriculture to industry (Chart 3).

(a) *Agriculture*

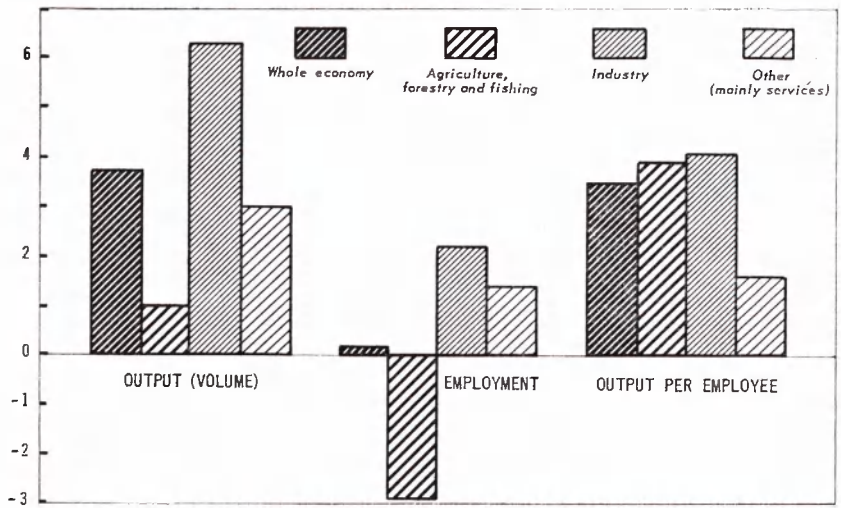
Agricultural output grew slowly in the last decade, despite Ireland's ideal climate for livestock breeding and dairy farming. But Irish agriculture

1 Exports plus imports of goods and services were equivalent to about three-quarters of GNP in 1969. The corresponding figures for the Scandinavian countries, Belgium and the Netherlands ranged from 50 to 90 per cent, and the OECD average was about 25 per cent.

2 The Irish pound is freely convertible into sterling, the two currencies are on the same parity, there are no fluctuations between the two nor any conversion charges, the Irish pound is backed largely by sterling assets, and there are no formal restraints on movements of funds from Ireland to the United Kingdom.

3 'Full Employment', NIEC, Report No. 18, Dublin Stationery Office, March 1967.

Chart 3 **Output and employment trends, 1960-70**
(average annual per cent changes)



Sources : " National Accounts of OECD Countries, 1950-68 ", OECD, 1970 ; " Labour Force Statistics, 1957-68 ", OECD, 1970 ; " Review of 1969 and Outlook for 1970 ", Dublin Stationery Office, 1970 ; OECD Secretariat estimates.

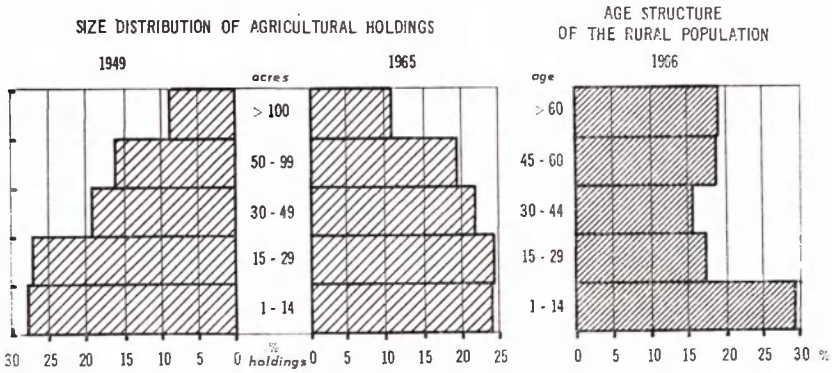
suffers from a lack of markets and an overmanned, traditional structure. There is little scope for increased domestic consumption as nutritional standards are high and the population is rising only slowly. Export markets must therefore provide the principal outlet for increased agricultural production. But export trade with the Common Market has virtually died out since 1965 due to the Market's common agricultural policy; and although the United States beef market is expanding, many of her agricultural imports (including beef and dairy products) are limited by a voluntary import programme or quotas. The United Kingdom thus remains the principal market for Ireland's agricultural exports, taking some 80 per cent. But the British system of farm price support yields low prices to importers and, allied to quotas on a number of products, provides only limited opportunity for the expansion of exports[1]. It is therefore difficult to find markets for added

1 Certain freedom of access for agricultural produce to the United Kingdom market was guaranteed by the 1965 Anglo-Irish Free Trade Agreement. Taking the main product groups, there are no limitations on exports of store cattle and they can be sold profitably as they qualify for British guarantee payments after two months in the United Kingdom; there are no limitations on exports of carcass beef, but beyond a certain tonnage price support falls directly on the Irish Government; all dairy produce and pig prices have to be supported by the Irish Government, exports of butter and bacon are subject to quota, and there is volontary restraint on cheese imports.

agricultural output, and, because the Irish Government must subsidize many agricultural export prices, disposal of the increment is at a considerable cost to the Exchequer.

These low export prices tend to depress incomes in agriculture. However, the low income levels also reflect poor productivity which is in turn related to structural features. The land tenure/ownership situation has been largely rationalised by the work of the Land Commission[1], but farm size and, in some areas, fragmented holdings still present a problem. In 1965, some two thirds of all holdings of more than one acre were of less than 50 acres (Chart 4). Other features which hold back productivity are the age structure of the rural population (Chart 4) and the low level of capital inputs[2]. All these factors are to some extent interrelated and have a strong regional bias: it is mainly in the Northern and Western regions that one finds the uneconomically small holdings, it is from here that the young have the greatest tendency to migrate so that farming tends to be an occupation for the old or middle-aged; many have few dependants and a traditional life style with limited wants so that the profit motive is often not highly developed.

Chart 4 **Distribution of agricultural holdings and population**



Sources : " Agricultural Statistics ", Dublin Stationery Office ; " Agricultural Adjustment in Ireland ", by J.J. Scully, paper read to the Agricultural Adjustment Conference, Dublin, 1968.

1 Virtually all the land in Ireland is worked by the owner, the result of Government policy implemented through various Land Acts over the last eighty years. Most or all of the purchase price has been advanced to existing farmers and is repayable on very favourable terms. Only about 7 per cent of agricultural land is let; cheap credit is not available to potential new farmers so that it is difficult for outsiders with limited capital to enter the industry.

2 Although investment in farm buildings, machinery, fertilizers, etc., has been increasing in recent years, there is still some unwillingness on the part of farmers to become indebted. An estimated balance sheet of the agricultural sector at the close of 1968 showed that total liabilities, including debt to the Land Commission, were equivalent to only about 7 per cent of total assets and were only marginally greater than cash balances and short-term credits owing to farmers. See *Capital and Finance in Agriculture*, OECD, 1970.

It is therefore probable that Irish agriculture is producing well below capacity and that considerable scope exists for improving efficiency through increased investment and the consolidation and rationalisation of holdings. But such efforts would, in the absence of a generalised expansion of markets, reduce agriculture's manpower needs. Such a generalised expansion would only seem warranted if there were a considerable improvement in export prospects, as might result from the higher prices and expanded markets which would accompany entry to the EEC.

In the absence of enlarged external markets, however, the process of agricultural rationalisation must necessarily depend on the capacity of the industrial sector to absorb the labour released. There may be opportunities to concentrate more on the production of certain commodities which can be produced and marketed efficiently, but progress towards the ultimate goal of agricultural policy, to enable output to expand at costs and prices which do not require subsidisation, is likely to remain relativly slow. Accelerated progress might be assisted by the present age structure of the agricultural population, but under present circumstances the rate of increase of agricultural productivity and real earned incomes will depend above all on the rate at which the industrial sector expands and absorbs excess manpower[1].

(b) *Industry*

If growth rates of an order approaching those envisaged by the NIEC are to be achieved, the main impetus will thus have to come, as in the past decade, from industrial expansion.

Since the mid-1950s, policy measures encouraging industrial development have leaned heavily on incentives to companies. Any new enterprise, regardless of ownership, is exempt for fifteen years from income and profit taxes on that part of its earnings coming from exports and there is a partial exemption for another five years. Established enterprises receive similar tax benefits on increases in their export profits. The benefit of these exemptions is passed on to the personal income tax and surtax liabilities of shareholders. Foreign investors are free to repatriate profits without restriction. In addition to generous tax allowances in respect of capital outlay, up to 25 per cent of the cost new investment[2] is repayable to companies as investment grants (40 per cent in the "Designated Areas", i.e. the poorer regions in the North-West, West and South-West) and supplementary grants up to another 10 per cent are paid if the new installation is felt to be particularly welcome — e.g., because of the number of new jobs it will create, its growth prospects or its scientific or technological

1 Various estimates suggest that agriculture was overmanned by about 60 per cent in 1960 and about 30 per cent in 1965, and that new techniques and some change of emphasis away from milk production could make possible, and economically advisable, a reduction of at least 40 per cent in the labour force over the next twenty years. See: R. O'Connor, " A study of the agricultural labour force in Ireland in recent years ", *Agricultural Record*, vol. XVIII, Summer 1962; *Capital and finance in agriculture*. op. cit.

2 The investment grant of 25 per cent is also payable to existing firms wishing to re-group, modernize or expand (35 per cent in the ' designated areas ').

nature[1]. Furthermore, special grants are payable to cover the cost of training labour for new industries.

These incentives to private industry, coupled with the expansion of public fixed investment, were decisive factors in the acceleration of fixed capital formation in the 1960s. At constant prices, the average annual rate of increase was about triple that of the previous decade. The latest available data suggest that, in the latter half of the decade, public authorities and state owned bodies were directly responsible for nearly 40 per cent of fixed investment and that a further 30 per cent was undertaken with State assistance in the form of grants or credits (Chart 5). This large degree of public influence remained similar to the situation in the late 1950s, despite the greatly increased volume of total capital formation; nor was there very much difference in the mix of direct expenditure and inducements to the private sector.

The strong growth of industrial investment shown in Chart 5 does not reveal the fluctuations in the rate of growth during the period, nor important changes in its composition. In the earlier years, foreign investment stagnated while domestic investment maintained the momentum of the 1958-9 boom. In the latter half of the decade, however, domestic private industrial investment slowed down sharply under the influence of tighter policies and weaker demand conditions, but foreign industrial investment expanded rapidly. In 1967-69, the value of foreign investment was about one quarter higher than in 1960-66. Although the incentives offered to foreign investors and the ready availability of reasonably priced labour render investment in Ireland attractive to an expanding company, the reasons for the surge in the last few years are not entirely clear. Part of the explanation may lie in coincidental timing factors, but there is a number of other possible contributing factors:

(*a*) Whilst some companies moved rapidly to take advantage of the new measures in the late 1950s, others may have waited to ascertain whether Irish industrial progress and the accompanying policies were soundly based. The record of the 1960s may have started bringing in such companies.

(*b*) The work of the Industrial Development Authority (IDA) in promoting investment in Ireland was intensified during the 1960s.

(*c*) The Anglo-Irish Trade Agreement of 1965, which removed the last restrictions on Irish exports of manufactures to the United Kingdom and guaranteed free entry in the foreseeable future, may have encouraged those wishing to penetrate the United Kingdom market (or British manufacturers themselves) to set up in Ireland.

(*d*) The 1967 devaluations of Sterling and the Irish pound provided a further incentive in terms of labour costs for those wishing to sell to the United Kingdom or to third markets.

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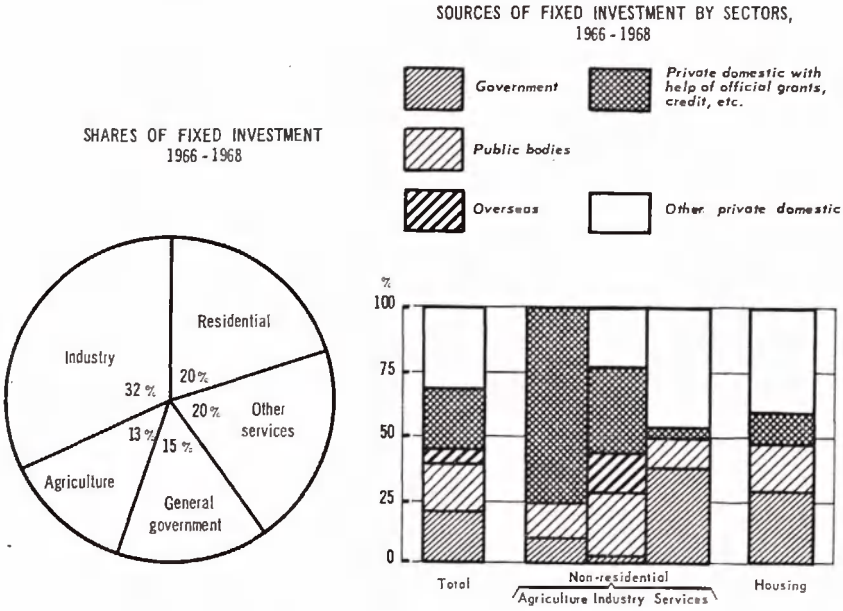
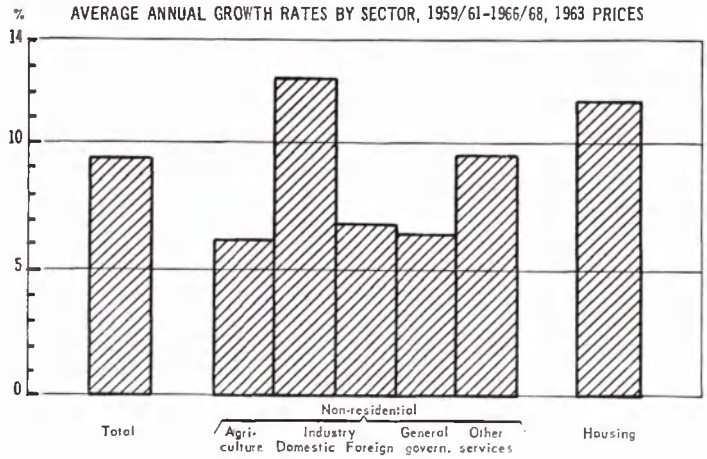
1 For exceptionally larger projects the grant may be limited to a specified sum per job created. These large projects, however, can also benefit from loan interest subsidies and underwriting facilities.

Chart 5 Gross domestic fixed capital formation





That part of private domestic investment in a particular sector assisted by official grants, etc., has been estimated by taking that part of the public capital programme which applies to the given sector and which is not accounted for by public sector fixed capital formation, and grossing it up by a factor which accords with the estimated average rate of grant in that sector.

Sources : Budget tables ; Irish submissions to the OECD ; OECD Secretariat estimates.

The future ability of the industrial sector to expand more rapidly will depend on the inflow of projects from abroad, a recovery in domestic private sector fixed investment and continued buoyancy of the public capital programme. Many of the factors listed above, plus the improved prospects of membership of the EEC, should continue to attract direct foreign investment, so long as there remains an appropriate supply of labour at acceptable wages and there is continued confidence in Irish prospects. But the shortages of certain types of labour now being experienced and recent trends in labour costs suggest a possibility that these conditions may not be fulfilled. The prospects for domestic private industry depend principally on demand conditions, which are in turn influenced by Government policy. How expansive policy can be will be dictated principally by balance of payments considerations, but there may also be a financing constraint. The latter consideration is especially valid when considering the continued ability of the public capital programme to expand at past rates. The likely constraints on industrial expansion would thus seem to come under the following headings:

(*a*) Manpower and regional policies.
(*b*) Public finance.
(*c*) Balance of payments.
(*d*) Costs and prices.

Manpower and regional policies

The overall responsibility for manpower policy was given to the new Department of Labour in 1966, complemented by the Industrial Training Authority (AnCo) set up in 1967. A manpower forecasting unit was launched in 1966 within the Department of Labour. A free National Manpower Service was set up in 1969 to undertake placement and guidance work and the Department of Labour has also established a Careers Information Service.To promote the mobility of labour, legislation passed in 1967 provided both resettlement and redundancy schemes. The resettlement scheme provides grants to cover the costs incurred by persons who are unemployed or under notice of redundancy, who have poor employment prospects in their home areas and who accept new employment beyond daily travelling distance of their present homes. The redundancy scheme provides compensation, related to age, length of service and earnings, to redundant workers; payments are made from a special fund financed by employers and employees.

But perhaps manpower policy has made the greatest progress in the area of education and training. Secondary education was made free of charge in 1967 and the Department of Education has been moving to a system of comprehensive secondary schools teaching a mixture of technical and academic subjects. AnCo has been broadening and rationalising the training of apprentices. In the last two years, three adult training centres have been opened; they give courses mainly to unemployed adults or to farmers wishing to swich to industry. Two more centres are planned to bring total adult training capacity to 2 000 workers per annum. Training grants are available

to private industry and AnCo has introduced an industry-wide levy/grant system which will act as a stimulus to industry to plan and implement in-company training schemes.

Irish regional development has, to date, leant heavily on the promotion of growth in three regional centres (Shannon, Waterford and Galway). The Government has been considering for some time to what extent the concept of "growth centres" should be broadened within a general strategy for regional development[1]. Regional co-ordinating groups on which planning authorities and public bodies are represented have been established under a Regional Development Committee to advise on the requirements of the various regions and the policy measures and priorities which could best meet these needs. It is expected that a report co-ordinating these findings will be published in early 1971. The preferential grants given to private investors who set up in the designated areas have been noted above.

There is clearly a strong link between regional and manpower planning, a tie which has been emphasised in Irish policy-making. A part of the Regional Development Committee's work will be to examine the labour market situations in the various regions and their implications for manpower policy; the IDA has just opened a number of regional offices at which AnCo will be represented; the IDA and the National Building Agency co-operate on housing projects designed to promote the mobility of labour. The co-ordination of policies will become even closer through the work of the Committee on Industrial Progress and the IDA who are currently working on a plan for industrialisation by regions.

The Irish authorities are thus drawing together detailed regional and manpower policies which should be adequate, when fully operational, to meet the needs of the rapidly expanding industrial sector. In the short-term, however, the outlook is less bright. Shortages of skilled labour currently exist throughout the country and there are localised bottlenecks caused by the lack of other types of labour. It would seem that current action in the field of industrial training and adaptation is insufficient: to take two illustrations, the annual capacity of the adult training centres is equivalent to only about one-fifth of the usual decrease in agricultural employment (some of which is accounted for by death, retirement or emigration, whilst others leaving agriculture may go into the service sector, or may not require retraining for industrial employment); and the number of apprentices qualifying annually, plus those leaving technical colleges or adult training centres, and employees undergoing training within industry, is equivalent only to an estimated 60 per cent of the average increase in industrial employment in the 1960s[2]. The latter proportion is, of course,

1 A report, *Regional Studies in Ireland*, published in May 1969 recommended a regional programme involving extended use of growth centres. The Government has indicated that these recommendations had such wide implications that they would have to be examined further.

2 In addition to those taking courses at adult training centres there are probably about 3,500 young persons completing apprenticeships or technical schools annually. But apart from apprentices the number undergoing training in industry is, as yet, probably small; judging from the 1966 census of population it is unlikely that at that date it exceeded 1,000.

higher than the ratio of newly trained persons to those entering new jobs as it takes no account of the switching of occupations taking place within the industrial sector itself. It would seem, then, that action in the field of industrial training needs to be accelerated, with the public sector, if necessary, undertaking parts of the task later designed to be covered within the private sector.

Public finance

The key role of public investment in the development process has had a marked impact on public finance. With capital expenditure rising rapidly and the current budget in approximate balance, a public sector deficit equivalent to some 10 to 15 per cent of GNP has had to be financed (about a third from new borrowing from the private sector or from abroad). In consequence, there has been a steady upward drift in outstanding national debt which now stands at the equivalent of over two-thirds of GNP[1]. While an acceleration of the rate of growth of GNP depends, in part, on the buoyancy of public capital formation (both because of its intrinsic importance and because of its multiplier effects on private industry), there may be a danger that the very size of the financing operation may adversely affect the expansion of industrial investment by pre-empting available sources of finance. Two possible courses of action which might help to avoid this dilemma suggest

Table 8 **Budget developments in the 1960's**
£ million, annual average

	1957/58 to 1959/60	1967/68 to 1969/70
Current expenditure	127	356
Current revenue	126	354
Current deficit (—)	–1	–2
Capital expenditure	42	160
Capital financing requirements[1]	43	162
Current expenditure as % GNP[2]	21.0	27.5
Capital expenditure as % GNP	6.9	12.3
Total expenditure as % GNP	27.9	39.8
Exchequer financing of capital expenditure as % GNP	5.0	8.6
National debt as % GNP	61	66
Expenditure on agriculture as % total expenditure	12.1	14.7
Wages and salaries as % current expenditure	31.1	27.1

1 Including the current deficit.
2 Current market prices, calendar year.

Sources: "Financial Statements", "Current Budget Tables" and "Capital Budgets" for the relevant periods, Stationery Office, Dublin.

1 This relationship between national debt and GNP compares, for example, with some 60 per cent in the United Kingdom, 30 per cent in the United States, and a range of from less than 15 per cent (France) to, about 55 per cent (Italy) in the EEC countries. The figures generally exclude local authorities, public corporations, official holdings and IMF notes, but should be treated only as orders of magnitude because of the differences in definition and composition of the public sector and its debt.

Table 9 **General Government Savings**
Per cent GNP

	1950-1959	1960-1964	1965-1968
Ireland	0.3	0.1	1.2
United Kingdom	1.6	1.0	3.0
EEC	4.1	4.9	3.7
Scandinavia	4.9	6.9	8.4
North America and Japan	2.2	2.5	2.0

NOTE General governments' current savings are expressed as percentages of GNP at current market prices. Area totals were obtained by weighting individual country results by their 1968 GNP expressed in dollars. The use of national accounting definitions turns a small cumulative deficit shown in the presentation of the Irish budget into a small cumulative surplus.

Source : " National Accounts of OECD countries, 1950-68 ", OECD, 1970.

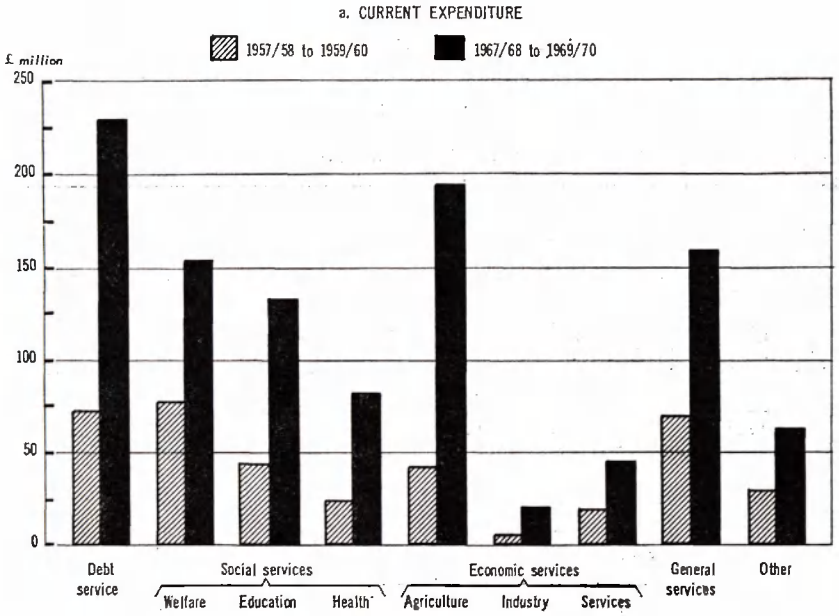
themselves: to seek alternative sources of finances for the public sector, and to examine public programmes carefully so as to eliminate less essential expenditure and concentrate on those aspects which most effectivly stimulate growth. While the public sector has placed heavy demands on private savings and has recently been turning to overseas capital for investment finance, one possible source of savings — namely, the public sector itself — has not been tapped. The current budget has been operated with the aim of balancing revenue and expenditure, a policy which is unusual in an OECD country, where most Governments run sizeable surpluses on current account over the longer term (Table 9)[1]. Under Irish conditions, the case for a current budget surplus over the longer-term seems strong.

The stimulation of public savings would be facilitated by further broadening of the tax base. The incidence of personal income tax and surtax is now not greatly different from that of the United Kingdom and the buoyancy of revenue at given rates of direct taxation is restrained because incomes from farming are not assessable for income tax purposes, and because of the revenue foregone in the form of industrial and export incentives. In the past, revenue was heavily dependent on excise duties on a small range of products — notably tobacco, oil, beer and spirits (Chart 6). As revenue requirements rose during the 1960's wholesale and turnover taxes were introduced providing a further broadening of the base and a greater revenue response to increased levels of activity. The introduction of the value added tax, planned for late 1971, will yield a welcome strengthening of this tendency[2].

1 This rigid practice also runs counter to the recommendations of the OECD fiscal policy report in respect of the flexible use of fiscal policy as a counter-cyclical tool. See *Fiscal policy for a balanced economy*, OECD, 1968. But it is noted that the Minister for Finance has questioned the suitability of the policy of balanced current budgets and has said that consideration would have to be given to aiming at a surplus on current account in conditions of inflation.

2 TVA will also improve the short-term stabilisation properties of the budget. The higher proportion of current expenditure going to wages and salaries, subsidies to the agricultural sector and welfare payments, all of which are sensitive to the overall rate of growth of wages and prices, combine with the present relative lack of buoyancy of revenue to produce built-in stabilisers which, under inflationary conditions, are small, if not on occasions perverse.

Chart 6 **Budget trends**



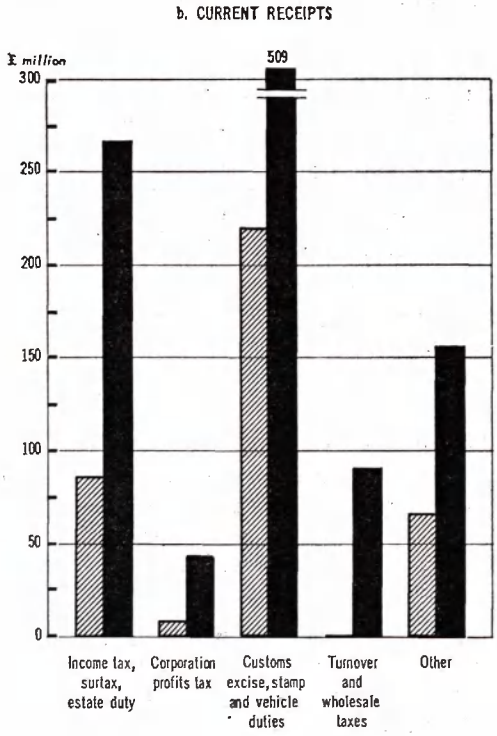
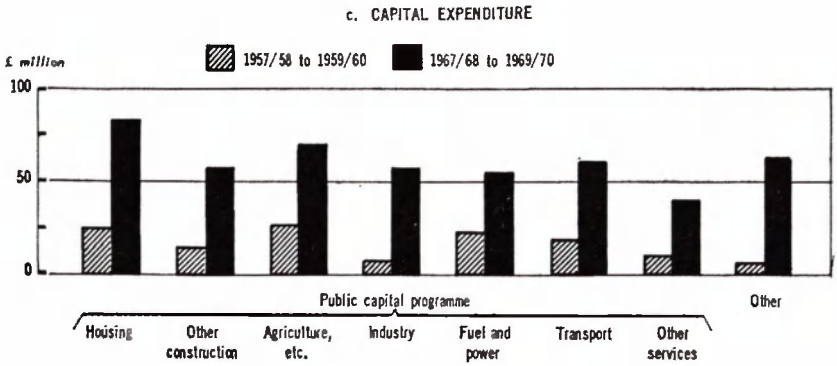
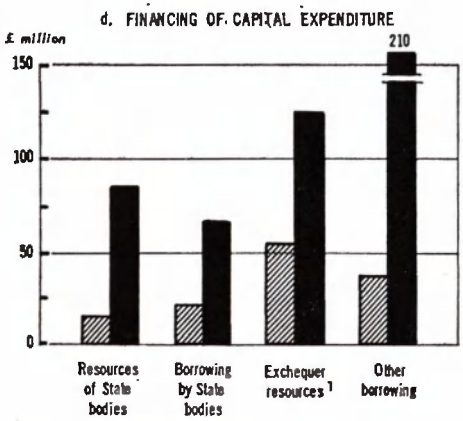


Chart 6 **Budget trends** (*continued*)





1 Loan repayments, small savings, prize bonds, etc.
Source : Budget tables.

The Authorities' concern with streamlining and increasing the effectiveness of expenditure is illustrated by the review of the capital programme currently under way and by the introduction of programme budgeting (see page 19). While detailed policy outlines to stimulate public savings and growth must await the results of such studies, it may be worthwhile to note that:

(*a*) Some savings could possibly be made by greater selectivity in expenditure policy, particularly in the agricultural sector where some further shift towards welfare payments might reduce the burden of generalised subsidies.

(*b*) The returns to investment in industry are greater than to investment in agriculture and any switch of capital expenditure in favour of industry would be desirable on purely economic grounds. Social considerations would, however, demand that any such changes be gradual.

(*c*) In general, some saving might be made on incentive schemes which are easily fulfilling policy goals. For example, the recent remarkable inflow of foreign fixed investment would seem to justify the earlier decision that the rate of grants payable by the IDA could be reduced.

Balance of payments

Exports rose strongly throughout the 1960s led by industrial goods, and there has been considerable diversification of markets. But imports have risen apace and there has been a tendency for the current deficit to increase. The steady inflow of foreign capital has been more than sufficient to finance the deficit, however, and reserves have increased (Chart 7). Both the current deficit (3-4 per cent of GNP over the last three yars) and reserves (equivalent to over six months imports) are large compared with levels in other OECD countries.

Table 10 **Current balance of payments deficit**
Per cent GNP, annual averages

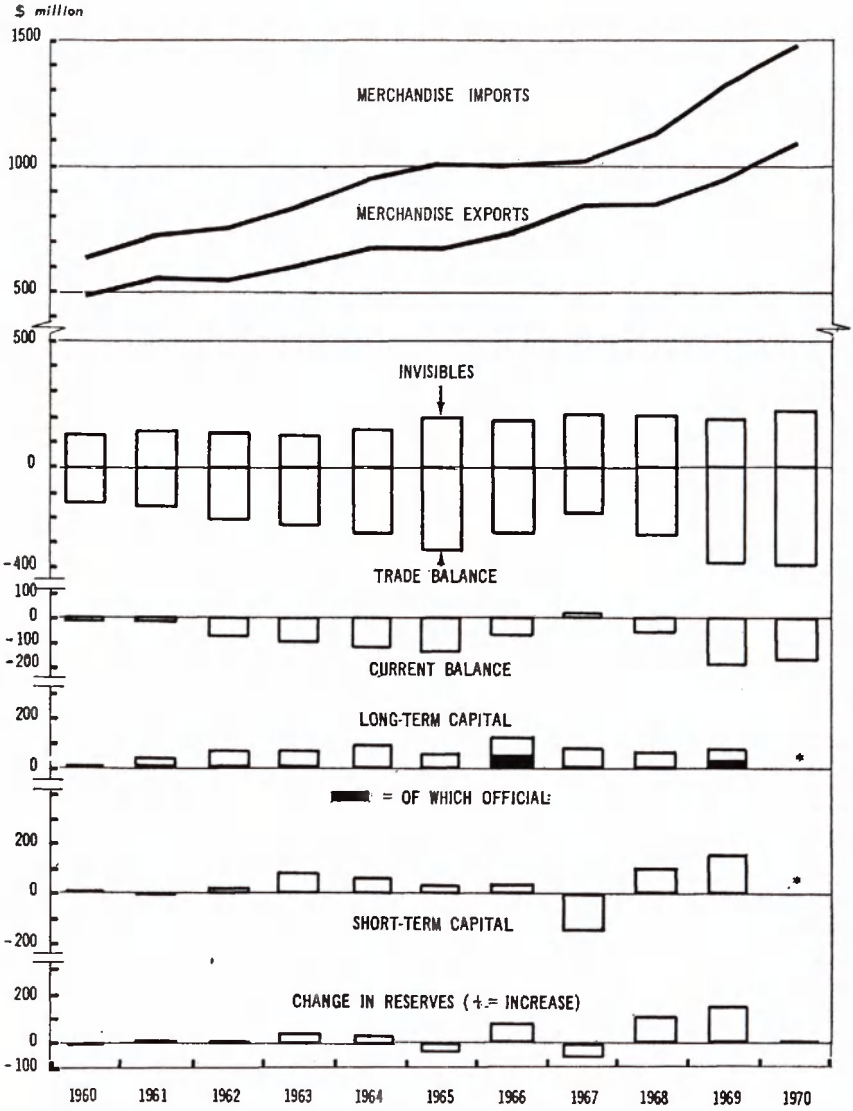
1951-55	1956-60	1961-65	1966-70	1969-70
4.8	0.5	2.5	2.3	4.2

Sources: " National Accounts of OECD countries, 1950-1968 ", OECD, 1970; OECD Secretariat estimates

In the absence of improved marketing conditions for agricultural produce, the increase in exports will have to come from the industrial and service sectors, and their continued rapid growth will therefore require increased industrial capacity. But a high proportion of machinery and equipment is imported so that the expansion of export capacity is costly in imports in the short-run. To the extent that these imports contribute to the current account deficit, however, the latter is unlikely to arrest development; it is not inappropriate for a developing country such as Ireland to build up external liabilities for fixed capital, and the financing of such a deficit should not present problems as imports of capital goods are largely covered by accompanying inflows of foreign direct investment. In the last decade imports of finished producers' capital goods led the growth of imports (Chart 8); but there was also a substantial increase in imports of consumption goods, the two combining to produce the widening current deficit. It is more the future course of imports of consumer goods that could jeopardise growth; any undue swelling could lead to serious balance of payments difficulties.

The sensitivity of imports of consumer goods to the rate of increase of

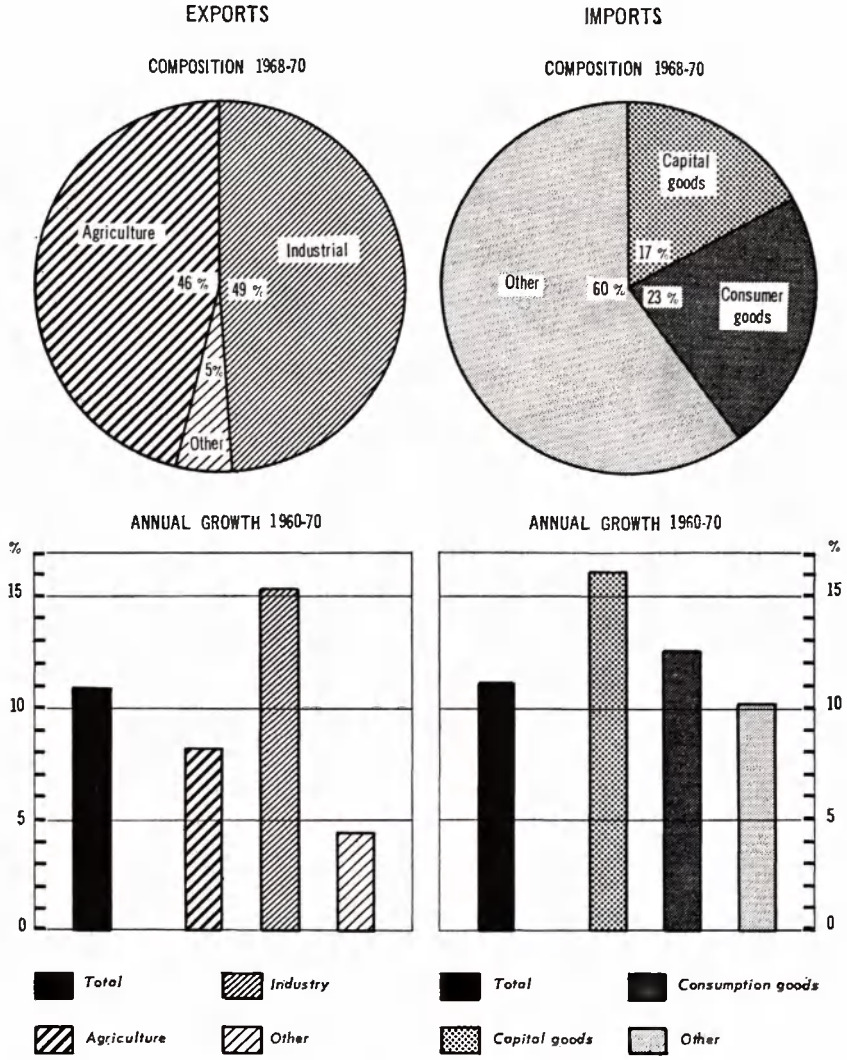
Chart 7 Selected balance of payments items



* = not available.

Sources : " International Financial Statistics ", IMF ; " Balance of Payments Yearbook ", IMF ; " Quarterly Bulletin ", Central Bank of Ireland ; OECD Secretariat estimates.

Chart 8 Merchandise trade by product categories



Sources : " Trade Statistics of Ireland ", Central Statistical Office Dublin.

personal incomes has already been noted (page 14)[1]. Export prospects too, through unit labour costs and export prices, depend on the movements of incomes relative to those in other countries. The extent, therefore, to which the balance of payments may act as a brake to future development will depend crucially on the course of domestic costs and prices.

1 The effect was particularly noticeable in the late 1960's when consumption goods imports advanced strongly as domestic incomes accelerated.

Costs and prices

Irish rates of increase in costs and prices in the 1960s were amongst the most rapid experienced in OECD countries (Chart 9). Indirect tax increases and import price rises were responsible for a portion of the increase in consumer prices, but the dominating factor was the rapid advance of wages, earnings and unit labour costs; if anything, there was a tendency for unit profit margins to be squeezed. The balance of payments came under pressure in the middle of the decade, necessitating corrective measures which cut the growth of output and employment. Considering the movements of incomes and unit labour costs it is not surprising that, despite devaluation, the current balance is once more suffering from a certain lack of competitiveness.

Given Ireland's pool of unemployed and underemployed labour, the sustained rise of wage rates cannot be attributed to generalised demand pressures on the labour market. But the Irish system of wage determination is particularly attuned to a few key settlements (often reached after long and bitter strikes) which set the pattern for "round" of wage bargains which maintains the traditional pattern of differentials. The initial claim and settlement could depend on localised bottlenecks in the labour market, demonstration effects from the United Kingdom, or even the inter-skill differentials resulting from the previous "round".

If, in the future, deflationary measures were again necessary to counter adverse effects on the balance of payments of domestic income and price movements, they would be costly in term of employment and output. There is, therefore, a clear need for policies that reduce and progressively eliminate excessive rises in incomes, in order to deal with what is largely a problem of cost-push inflation. With this in mind, the NIEC issued a report in 1965 which outlined a possible approach to instituting a prices and incomes policy[1], but progress to date has been slow. In the past year the NIEC has issued a further report[2], Government action has spurred the two sides into implementing at least some of the recommendations, and a welcome, if somewhat inflationary, national wage agreement has been reached to cover the next eighteen months (see page 16). Further and rapid progress along these lines seems an essential condition for more rapid groth of output and employment.

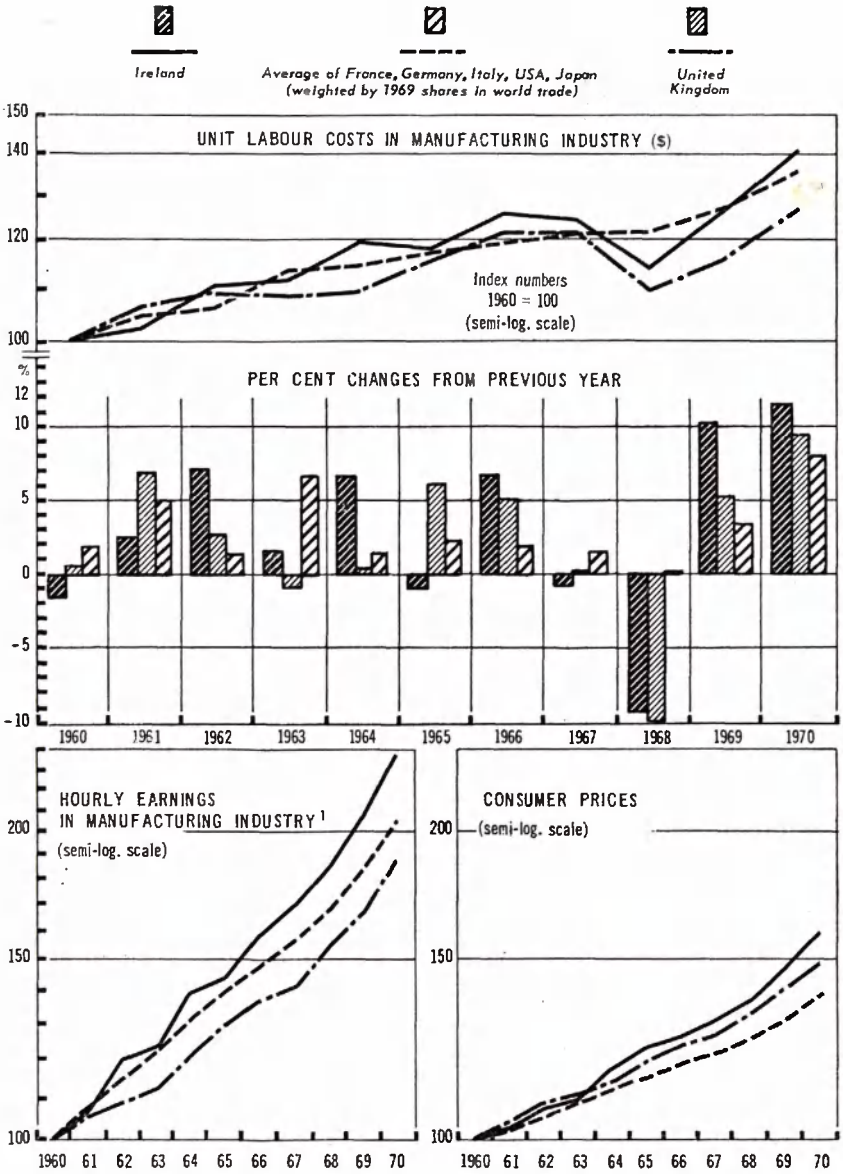
Concluding remarks

The above paragraphs suggest that it is both desirable and possible to accelerate the Irish rate of growth in the medium term, maintaining the accent on rapid industrial development. However, if Ireland is to remain attractive to overseas investors and the balance of payments constraint is to be pushed back, concerted action in the fields of manpower and prices and incomes policies is essential. Over the longer term a change from the

1 'Prices and Incomes Policy', NIEC, Report No. 11. Dublin Stationery Office, 1965.

2 'Report on Prices and Incomes Policy', NIEC, Report No. 27, Dublin Stationery Office, 1970.

Chart 9 Costs and prices



1 Where hourly earnings data were not available, hourly rates or, preferably, weekly earnings were used.

Sources: " Main Economic Indicators ", OECD; National publications and OECD Secretariat estimates.

budgetary goal of balance on current account towards one of public savings could avoid financing problems which might otherwise either restrain the essential expansion of the public capital programme or stifle private domestic capital formation.

Table 11 illustrates a set of possible expenditure patterns which could accompany an acceleration in the real rate of growth to some 4¾ per cent, and gives, under certain assumptions, some idea of the policy problems to be faced, even in the relatively short term. For example, an annual growth rate of 4¾ per cent would imply the creation of some 11 000 to 12 000 new

Table 11 Possible expenditure patterns in the medium term
Annual growth rates, volume

	1960-69 (actual)	medium term
Consumers' expenditure	3½	3
Government current expenditure	4	3
Gross fixed investment	10½	11½
Final domestic demand	4½	4¾
Stockbuilding[1]	¼	¼
Total domestic demand	4¾	5
Exports	7¾	10
Imports	8¾	9
Net factor incomes	4½	3
Foreign balance[1]	−¾	−¼
GNP	4	4¾

1 Change as a per cent of GNP.

The 4¾ per cent growth of GNP has been taken as a target and split between the 3 major sectors. The investment figures have been derived from these sectoral output targets on the basis of past relationships. The 3 per cent figure for the growth of government current expenditure reflects the desirability of restraining this item in the medium term. The import figure is based on past relationships of various categories of imports with different expenditure items, and the export figure is such as to prevent the current deficit from increasing, when expressed as a per cent of GNP. Domestic prices have been constrained to keep the rate of increase in export prices down to that of an assumed annual rate of incease of import prices (2 per cent). The 3 per cent annual growth of private consumption (6 per cent by value) emerges as a residual.

To keep private consumption to nominal rates of 6 per cent suggests, given current tax rates and savings behaviour, that disposable incomes should not rise by more than 7-7½ per cent. The implied 1 per cent annual increase in employment and the shift to higher paid industrial jobs within this total would in turn indicate that annual wages and salary increases per head should be held below 6 per cent.

jobs in industry each year, compared with an estimated likely annual total of newly trained presons of about 6 000 to 7 000 over the next few years; and, given the assumption on the rates of price increase overseas, if the current external balance were not to deteriorate (when expressed as a proportion of GNP) the annual rate of growth of per capita wages and salaries should be held under 6 per cent — compared with an average of close to 10 per cent in the 1960s.

IV PROSPECTS AND CONCLUSIONS

Prospects

The assessment of prospects for 1971 is based on the assumption of "unchanged policies". More precisely, it has been assumed that the credit expansion will be allowed to continue at about the rate envisaged for 1970, and that tax rates and rules will not be changed. Moreover, in line with the policy stance announced in the October budget, it seems reasonable to assume that public current expenditure will rise more slowly than in 1970 and that expenditure on the public capital programme will be kept under tight control. On this basis, and assuming no major work stoppages, activity should rise faster than in 1970.

The growth of world trade is likely to recede from the high rates experienced in 1970, and the rise in world trade prices should slow down. But the deceleration in the growth of Irish export markets may be less than average, inter alia because British imports are likely to grow about as much as in 1970. Irish exports of goods and services could grow by some 7-8 per cent in volume, somewhat faster than in 1970.

Prospects for gross fixed investment are difficult to assess. As already noted, the public capital programme may not rise much, and this will also influence certain types of private investment supported by the government. The surveys of business investment intentions taken last autumn, possibly influenced by some squeeze on profits and lower capacity utilisation rates, did not point to much buoyancy, and the corporate profits tax has been increased since then. It is possible, however, that the national wage agreement, by removing one element of uncertainty, will serve to stimulate private investment. In addition, direct investment by overseas companies is reported to be rising strongly. Moreover, to the extent that public borrowing requirements from the banks may be reduced, there would be more credit available for private industry. Nevertheless, while the rise in fixed investment is likely to be much stronger than in 1970 when it was depressed by adverse factors, it is uncertain how strong the recovery will be.

The rise in nominal personal incomes is likely to remain substantial in 1971, perhaps around 10 per cent. But prices are also rising rapidly, although less fast than in 1970 when indirect taxes were raised significantly. Taking into account the rise in prices and progressive direct taxation, real disposable income is unlikely to increase by much more than 3 per cent. Depending on the development of private savings, real consumer demand may then increase by around 3 per cent.

On these assumptions and with no major change in stockbuilding, aggregate demand could rise by 4-4½ per cent in real terms. The growth of output will also depend on the increase in imports. On the basis of past relationships, imports in real terms might be expected to rise by around 6 per cent (including ships and aircraft of £25 million). There are indications, however, that the import ratio has risen in recent years, probably influenced to some extent by the sharp rise in Irish costs and the lowering of import duties under the Anglo-Irish Trade Agreement. It is therefore possible that imports will rise faster in relation to demand than earlier. If so, real GNP might increase by 3-4 per cent. As activity was depressed by disputes in 1970, this means that the underlying growth of GNP is unlikely to exceed 3 per cent, rather less than the growth of capacity. The rise in industrial employment may therefore be relatively modest, and a sizable margin of slack may remain in the economy. Nonetheless, although price rises may decelerate over the year, the year-on-year increase in consumer prices is likely to remain strong.

Prospects for the balance of payments are also uncertain. On the basis of an optimistic assumption about the trend of imports, the current deficit might be around the same size as last year; excluding imports of ships and aircraft, which are likely to be relatively high in 1971, there would be a marked fall in the current deficit. But, as already noted, there is clearly a risk that imports will rise relatively fast, and that the current account deficit (including ships and aircraft) will remain high or rise.

Conclusions

There are features in the present situation which must be of some concern for the authorities. Although the growth of activity is likely to recover, the underlying trend may remain weak. At the same time costs and prices are rising strongly. It may be said that the situation is not very different from that of many other Member countries, and that inflation in Ireland is to a large extent the result of inflationary trends abroad. In Ireland, however, costs and prices have been rising rather faster than elsewhere over the last two years, and an important margin of slack has developed. Moreover, the current external deficit has remained high despite the marked easing of demand pressures.

The combination of relatively slow growth, strong inflation, and large current external deficit presents a dilemma for economic policy. From the point of view of the employment situation, stronger growth of activity than seems likely on the basis of present policies would be desirable. But a more expansionary demand management policy would probably entail an increase in the already large current account deficit[1]. Nevertheless, a stimulative demand management policy might have been justifiable if the main reason for slow growth and large external deficit had been weaker foreign demand. Under such conditions, and given Ireland's comfortable

1 For example, an increase in real GNP of 5-6 per cent in 1971 caused by higher domestic demand might be associated with a current external deficit of the order of at least £ 75-80 million, or 4½-5 per cent of GNP.

position, a countercyclical policy to maintain a high level of employment would have seemed reasonable.

However, it would seem that weaker foreign demand is not the main problem. It is true that growth of world trade has slowed down from the high rates experienced in 1969 and the first half of 1970, but current and prospective rates of growth nevertheless remain high. A main reason for the present difficulties in the Irish economy is probably some loss of competitiveness.

(*a*) As already noted, costs have risen faster than on average in many other countries in recent years, and the lowering of tariffs in the Anglo-Irish Trade Agreement has reduced by about one-half the tariff protection of domestic industries competing with imports.

(*b*) Industrial production lost momentum already in the middle of 1969, rather earlier than in most other European countries, although foreign markets and home demand were still rising relatively strongly.

(*c*) The performance of industrial exports has so far remained strong, but a further rise in prices would have adverse effects. Moreover, there is evidence that imports have been taking a bigger share of aggregate demand in recent years. Some industries catering for the domestic market have experienced greater difficulties in expanding output and employment.

It would therefore seem that an improvement of price/cost performance must be given high priority in present circumstances. In the short run, there is little that authorities can do to reduce the rise in wages, as an 18 months national agreement has recently been concluded; it is important, however, to ensure that the agreement is being observed in individual sectors. With regard to prices, it is clear that excess demand is not a major factor behind the steep upward trend. Since a margin of unused resources has already developed, further measures to reduce the growth of demand would hardly be appropriate. The reduction in customs tariffs under the Anglo-Irish Trade Agreement and the Kennedy Round should help to limit the rise in prices. There may also be scope for other measures to stimulate competition in the home market; to this end, an extension of the powers of the Fair Trade Commission along the lines suggested by the NIEC might be appropriate. It would be well for the public sector to examine the implications of its own activities for prices[1]. More stringent price controls could also help to limit the rise in prices in the short run.

In the medium term it is desirable and possible to accelerate the growth rate and bring Ireland more rapidly to its goal of full employment. But while the Government has taken, and is taking, a wide range of policy steps to encourage development, the current situation suggests that if the constraints on growth are to be removed and not re-emerge at an early stage, the policy emphasis will have to be placed on rapid, concerted action in a certain number of fields where progress has so far been limited. One of these

1. The OECD report on inflation (op. cit., part III) makes numerous suggestions for anti-inflationary action in the whole range of government activities.

fields is regional and manpower policy, where policy action is being expanded; but even at present there are shortages and bottlenecks on the labour market and there would seem a strong case for action by the authorities to speed up the expansion of industrial training and labour adaptation schemes.

To be sustainable, the growth of activity must be export-led, underlining the importance of maintaining competitiveness. Certain short-term measures to limit the rise in prices are suggested above, but in the longer run better arrangements and policies to hold the development of incomes much closer in line with that of productivity are needed. Central wage bargaining would enhance the possibilities to:

(*a*) give the national interest due weight;
(*b*) sort out problems of differentials rationally rather than by leap-frogging, inflationary, individual settlements;
(*c*) minimise demonstration effects from abroad.

In this respect the Employer-Labour Conference is a hopeful sign as it provides a vital element of a workable incomes policy. Other necessary aspects of incomes policy — notably efforts to control the development of prices and non-wage incomes and institutional changes to co-ordinate the timing of bargains, settle disputes and provide for orderly procedures to avoid violation of agreements — would help to make the policy more comprehensive and durable. And it is an important task for the Government to bring home to the parties concerned the costs and benefits in terms of employment and growth of different rates of income increases in the present situation: it is probably true that the less the rise in incomes exceeds that of productivity, the faster the sustainable rate of growth.

Given the tendency for the expansion of activity to be accompanied by a growing current external deficit, measures to stimulate domestic savings may be needed. Higher public saving would allow the public capital programme to expand more steadily and improve the prospects of sustainable, more rapid growth.

STATISTICAL ANNEX

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Table A **Expenditure on gross national product**

	1961	1962	1963	1964	1965	1966	1967	1968	1969	1970 (est.)
					(a) £ *million at current prices*					
Consumers' expenditure	523.5	564.2	602.1	670.9	706.9	749.0	795.0	902	1 010	1 109
Public authorities' current expenditure	83.6	91.4	99.4	118.8	129.4	135.9	145.2	165	192	228
Gross fixed capital formation	108.9	129.0	147.7	173.3	197.9	197.1	217.6	251	329	353
Change in stocks and work in progress	+10.0	+12.6	+12.6	+20.0	+27.3	+7.8	–4.5	+17	+19	+18
Domestic demand	726.0	797.2	861.8	983.0	1 061.5	1 089.8	1 153.3	1 335	1 550	1 708
Exports of goods and services	236.0	237.4	265.3	301.1	309.6	340.7	385.6	452	494	562
Aggregate demand	962.0	1 034.6	1 127.1	1 284.1	1 371.1	1 430.5	1 538.9	1 787	2 044	2 270
Less : Imports of goods and services	270.5	286.7	323.0	369.6	396.7	401.3	418.1	529	624	688
Net factor income from abroad	35.7	35.9	35.6	37.1	45.3	44.5	47.7	61	61	64
Gross national product at market prices	727.2	783.8	839.7	951.6	1 019.7	1 073.7	1 168.5	1 319	1 481	1 646
					(b) £ *million at constant (1958) prices*					
Consumers' expenditure	505.2	524.1	545.5	570.0	574.9	588.7	606.3	658	688	698
Public authorities' current expenditure	75.0	77.4	80.6	82.8	86.1	87.4	91.7	98	106	110
Gross fixed capital formation	103.3	118.5	132.9	146.9	161.9	156.7	167.1	187	231	228
Change in stocks and work in progress	+9.6	+12.5	+12.0	+18.0	+23.5	+6.9	–5.4	+9	+14	+13
Domestic demand	693.1	732.5	771.0	817.7	846.4	839.7	859.7	952	1 039	1 049
Exports of goods and services	232.4	230.2	252.3	272.9	275.6	297.9	335.6	369	382	405
Aggregate demand	925.5	962.7	1 023.3	1 090.6	1 122.0	1 137.6	1 195.3	1 321	1 421	1 454
Less : Imports of goods and services	269.2	283.9	314.2	354.9	371.5	374.7	392.1	459	519	537
Net factor income from abroad	35.5	35.6	34.7	35.7	42.4	41.4	44.8	53	51	50
Gross national product at market prices	691.8	714.4	743.8	771.4	792.9	804.3	848.0	915	953	967

Source: National Income and Expenditure; Irish submission to the OECD.

Table B **Production, employment and other economic indicators**

		1966	1967	1968	1969	1970	1969				1970			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Volume of agricultural output[1] (1968 = 100)	92.5	94.7	100	97.7									
2	Cattle numbers (thous., mid-year)	5 590	5 586	5 572	5 688	5 842								
3	Index of industrial production, transportable goods[2] (1953 = 100)	180	196	218	233		203	249	238	241	218	249	243	
	of which :													
4	Mining and quarrying[2]	302	365	450	500		341	598	649	414	368	674	509	
5	Manufacturing[2]	175	189	208	222		197	234	222	233	212	232	232	
6	No. of males engaged in farm work (thousands, 1st June)	321	310	301	291									
7	Employment in transportable goods industries (thousands)[2 3]	185	187	191	204		198	203	206	209	204	207	210	
8	Registered unemployment (thousands)[4]	48	55	58	57	65	66	55	50	57	69	69	60	62
9	Average hours worked per week in transportable goods industries[5]	44.2	43.8	43.8	43.2		43.3	43.7	43.2	43.0	42.5	42.7	43.0	
10	Value of average weekly retail sales (1961 = 100)	135	141	153	170		146	170	176	186	168	180	188	
11	New private cars registered for the first time[2] (thousands)	39.5	40.3	51.4	50.5	52.6	13.2	16.5	11.2	9.6	13.9	16.9	11.9	9.9
12	Net outward passenger movements by sea and air (thousands)[6]	–26	–49	–5	–11		–24	+33	–39	+19	+13	+16	–28	

1 Net output adjusted for stock changes.
2 For items 3, 4, 5 and 7 the figures for 1969 and 1970, and for item 11 the figures for 1970, are provisional.
3 Quarterly figures are for March, June, September and December; annual figures are averages.
4 Figures over the years are not comparable owing to changes in coverage.
5 Annual figures are for September; quarterly figures relate to March, June, September and December.
6 + = net inward movement; — = net outward movement.

Source: Irish Statistical Bulletin.

Table C Prices and wages

	1966	1967	1968	1969	1970	1969 Q1	1969 Q2	1969 Q3	1969 Q4	1970 Q1	1970 Q2	1970 Q3	1970 Q4
1 Agricultural prices (1953 = 100)	116	118	130	134	142	135	137	131	134	141	144	139	144
2 Price per head live weight of bullocks at Dublin auctions (£)[1]	69.7	69.9	83.5	88.9	97.0	86.1	91.0	91.3	85.3	92.8	99.6	98.4	97.0
3 Consumer prices[1] (mid-August 1953 = 100)	148	153	160	172	186	168	171	174	175	178	185	188	193
4 *of which :* Food prices	142	144	153	162	174	159	162	164	163	167	178	176	177
5 Wholesale prices (1953 = 100)	134	138	146	156	165	153	157	157	158	162	166	165	165
6 Industrial prices (1953 = 100)	138	143	149	160	168	156	159	161	164	166	168	170	170
of which :													
Simply transformed goods	115	118	123	126	131	125	126	127	128	129	130	131	132
More elaborately transformed goods	147	152	159	173	182	168	171	174	177	179	182	184	185
7 Minimum weekly wages in agriculture[2] (1953 = 100)	213	222	240	284	321								
8 Average hourly earnings in transportable goods industries[3] (October 1953 = 100)	221	232	255	290	340[4]	281	281	290	298	305	324	340[4]	

1 Quarterly figures for February, May, August and November; annual figures are averages.
2 July in each year.
3 Quarterly figures for March, June, September and December; annual figures are for September.
4 Preliminary estimate.

Source: Irish Statistical Bulletin.

Table D Money and banking

	1966	1967	1968	1969	1969 Q1	1969 Q2	1969 Q3	1969 Q4	1970 Q1	1970 Q2	1970 Q3	1970 Q4
1 Currency in circulation £ million[1]	120.3	124.7	133.8	143.1	140.8	140.7	143.8	153.7	151.3	163.1	157.0	173.3
2 Rediscount rate of Central Bank[2] (per cent)	6.7/8	7.25/32	7.11/64	8.¼	8.¾	8.½	8.3/8	8.¼	7.13/16	7.3/8	7.5/16	7.5/16
3 Price of 6 per cent Exchequer bonds[3] (per £ 100 stock)	90.½	89.¾	86.½	75.¾	81.½	77	73.¼	71.5/8	71.2/3	72.½	71	71.1/3
4 Price index number of ordinary stocks and shares[2] (1953 = 100)	295	295	420	444	474	464	429	409	414	383	389	378
ASSOCIATED BANKS[2]												
5 Current accounts (£ million)	235.4	255.5	275.6	287.6	300.7	283.3	292.9	287.6	(lack or distortion of data because of the bank dispute)			
6 Deposit accounts (£ million)	306.0	353.2	429.6	485.5	434.3	453,9	468.8	485.5				
7 Total credit (£ million)	406.5	440.5	543.1	613.2	582.6	601.8	614.9	613.2				
8 *of which* : Government (£ million)	81.5	91.2	129.9	167.0	141.1	133.8	166.8	167.0				
9 Net external assets (£ million)	85.2	130.7	74.8[4]	19.0	48.6[4]	47.3[4]	26.2[4]	19.0				

1 Average of Saturdays; quarterly figures refer to the final month.
2 End of period.
3 Average during period.
4 Reflects sterling transferred in November 1968 and in August 1969 to Central Bank in connection with the Basle arrangement.

Source: Central Bank of Ireland Quarterly Bulletins; Irish submission to the OECD.

Table E Foreign Trade and Payments

£ million, end of period

		1966	1967	1968	1969	1970	1969				1970			
							Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	Imports, £ million, monthly averages	31.1	32.7	41.3	49.1	54.5	44.9	53.0	47.0	51.8	50.9	55.5	51.6	59.9
2	Exports, £ million, monthly averages	20.3	23.8	27.7	30.9	35.9	26.8	30.7	32.3	34.0	33.2	34.6	36.4	39.4
3	Trade balance, £ million, monthly averages	–10.8	–8.9	–13.6	–18.2	–18.6	–18.1	–22.3	–14.7	–17.7	–17.7	–20.9	–15.2	–20.5
4	Volume of imports (1953 = 100)	177.9	187.7	220.2	251.6		232.9	274.0	238.3	261.2	244.3	262.1	242.7	
5	Volume of exports (1953 = 100)	188.9	219.9	239.5	252.5		225.7	252.2	259.8	272.3	257.3	261.4	274.7	
6	Import prices (1953 = 100)	112.9	112.2	121.5	126.4		127.3	127.5	130.3	131.3	134.9	137.0	137.6	
7	Export prices (1953 = 100)	112.9	112.9	121.1	128.5		124.6	127.7	130.7	131.3	135.2	138.5	138.9	
8	Terms of trade (1953 = 100)	100.0	100.6	99.7	101.7		97.9	100.2	100.3	100.0	100.2	101.1	100.9	
	Reserves ($ million, end of period) :													
9	Gold	23	25	79	39	16	79	79	64	39	38	26	26	16
10	Currency assets	471	403	418	594	637	458	410	506	594	634	627	672	637
11	Reserve position in IMF	—	11	48	58	30	53	53	58	58	43	43	40	30
12	SDR holdings	—	—	—	—	13	—	—	—	—	13	16	16	13
13	Total	494	439	545	691	696	590	542	628	691	728	712	754	696

Source: Irish Statistical Bulletin; Central Bank of Ireland Quarterly Bulletin; IMF, International Financial Statistics (lines 9-13).

Table F Basic Statistics : International Comparisons

			Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece	Iceland	Ireland	Italy
POPULATION	End of 1969	Thousands	7 384	9 660	21 260	4 906	4 707[1]	50 545	61 195	8 842	203.4	2 927	54 302
Net average annual increase	1959-1969	%	0.49	0.57	1.84	0.72	0.65	1.06	1.05	0.65	1.57	0.30	0.82
EMPLOYMENT Total civilian	1969	Thousands	3 017	3 683	7 780	2 294	2 116	19 967	26 337	(3 662)	78[2]	1 061	18 678
Agriculture		% of total	19.1	5.2	8.2	11.9	24.5	15.1	9.6	(48.2)	18.8[2]	28.4	21.5
Industry[7]		% of total	39.9	44.8	32.3	38.5	34.6	40.6	49.1	(22.5)	37.3[2]	29.7	43.1
Other		% of total	41.0	50.0	59.5	49.6	40.9	44.3	41.3	(29.3)	43.9[2]	41.9	35.4
PRODUCTION GNP per head	1969	$[8]	1 690	2 360	3 460	2 860	1 940	2 770	2 520	950	1 890	1 200	1 520
GDP by sector Agriculture	1969	% of total	7.0	5.3	5.9[9]	8.9	14.7	6.0[11]	3.0[11]	20.3	..	19.7[2]	11.3
Industry		% of total	46.8	41.6	38.5[9]	40.1	41.3	48.1[11]	53.9[11]	28.2	..	34.0[2]	38.9
Other		% of total	46.2	53.2	55.6[9]	51.0	44.0	45.9[11]	42.5[11]	51.5	..	46.3[2]	49.8
GNP[12] annual volume growth	1969	%	6.4	6.5	5.0	7.7	9.3	7.9	7.9	7.8	0	2.7	5.0
	1964-1969	%	4.2	4.1	5.2	4.3	4.3	5.5	4.6	7.0	1.7	4.0	5.5
INDICATORS OF LIVING STANDARDS	1969												
Private consumption per head		$	970	1 470	2 050	1 770	1 060	1 680	1 390	640	1 190	720[2]	960
Expenditure on education		% of GNP[9]	4.40	5.57	5.65[17]	6.00[2]	6.30[18]	4.81	3.00[19]	2.40[2]	4.80	4.23	5.44
Dwellings completed, per 1 000 inhabitants		Number	6.6	5.0[21]	8.2	9.0	7.9	8.2	8.6	10.1	9.0[9]	4.0	5.8[2]
Passenger cars[22], per 1 000 inhabitants		Number	144	187	298	209	124	240	199	22[18]	185	123	151
Television sets[23], per 1 000 inhabitants		Number	134	186	279	244	193	185	231	9	160[22]	111[19]	146
Telephones[23], per 1 000 inhabitants		Number	159	181	408	292	204	141	172	76	330[22]	87[9]	135
Doctors[23], per 1 000 inhabitants		Number	1.58	1.51	1.20[24]	1.35[24]	0.88	1.18	1.48	1.47	..	1.03[19]	1.71
GROSS FIXED INVESTMENT[25] Total	1964-68 average	% of GNP	25.1	21.4	23.8[26]	22.3	25.2	24.8	25.6	24.2	30.6	20.0	19.5
Machinery and equipment		% of GNP	12.6	8.6	9.4	11.1	9.0	10.7	12.3	9.1	9.4	8.7	7.4
Residential construction		% of GNP	4.4	5.6	3.8	4.3	5.5	6.5	5.4	6.1	6.5	3.9	6.3
Other construction		% of GNP	8.1	7.2	10.6	6.9	10.7	7.6	7.9[21]	9.3	14.8	7.4	5.8
GROSS SAVING	1964-68 average	% of GNP	26.6	22.8	23.9	20.0	27.1	25.7	26.2	20.4	..	18.1[27]	23.0
PUBLIC SECTOR[28] Total current revenue	1969	% of GNP	37.5[2]	34.2	35.2[2]	37.1	35.9	38.1	37.9	26.9	33.9[2]	30.7[2]	33.3
WAGES/PRICES Hourly earnings[34]	Annual increase 1964-69	%	8.1[35]	7.9	6.6[36]	11.2[37]	9.1	8.2[38]	6.5	10.8	11.7[39]	8.6[36]	5.7[40]
Consumer prices	Annual increase 1964-69	%	3.4	3.5	3.7	6.5	5.3	3.8	2.6	2.5	11.5	4.6	2.8
GNP deflator	Annual increase 1964-69	%	3.6	3.8	3.9	6.4	5.9	3.9	2.6	2.7	12.0	4.6	2.9
FOREIGN TRADE Imports[48]		$ million[8]	3 146	8 392	15 757	3 791	1 941	16 032	29 331	1 654	139	1 302	12 285
		% of GNP	27.7	40.5	25.3	30.6	24.2	14.2	20.3	21.9	45.0	43.6	16.4
Exports[48]		$ million[8]	3 004	8 420	15 441	3 578	2 006	16 024	34 385	965	110	1 216	14 618
		% of GNP	26.5	40.6	24.8	28.9	25.0	14.2	23.8	12.8	35.4	40.8	19.5
BALANCE OF PAYMENTS Current balance	1964-68 average	% of GNP	–0.9	0.2	–1.3	–2.4	–1.4	–0.8	0.7	–4.8	–4.7	–1.8	2.9
Official reserves, end-1969: per cent of a year's imports[49]		%	48.5	22.3[21]	20.0	11.7	15.7	22.3	27.4	18.3	31.6	44.8	33.3
Change	January 1970-January 1971	$ million	209	78[21]	1 121	64	85	1 122	6 084	–19	17	–2	1 317
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[52]		% of GNP	0.65	1.12	0.50	1.13	— [53]	1.24	1.33	— [54]	— [53]	— [53]	1.03
EXPORT PERFORMANCE[55] Gains in losses	1968 to 1969	%	2.9	3.6[21]	–2.9	–0.3	6.7	0.7	2.9	–0.5	17.3	4.7	–2.6
of market shares	1960-61 to 1968-69 average	%	–1.8	1.0[21]	–2.5	–1.1	–2.1	0.8	0.8	1.1	–5.4	0.6	4.0

	Japan	Luxembourg	Netherlands	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States	Yugoslavia[4]
POPULATION	102 930	338.5	12 958	3 867	9 514[2]	33 250	8 014	6 184	33 957[2]	55 534[3]	204 354	20 462
Net average annual increase	1.04	0.79	1.27	0.81	0.85[5]	0.97	0.71	1.53	2.65[5]	0.67[6]	1.31	1.12
EMPLOYMENT Total civilian	50 400	140	4 510	1 474	3 109	12 243	3 821	(2 740)	(13 519)	24 904	77 902	3 706
Agriculture	18.8	11.6	7.5	14.7	31.5	30.7	8.8	(7.3)	(72.1)	2.9	4.6	6.7
Industry[7]	35.0	45.7	41.3	36.8	35.5	37.1	40.4	(51.9)	(11.6)	46.8	(33.7)	46.8
Other	46.2	42.7	51.2	48.5	33.0	32.2	50.8	(40.8)	(16.3)	50.3	(61.7)	46.5
PRODUCTION GNP per head	1 630	2 130[9]	2 190	2 530	600	870	3 570	3 020	380	1 970	4 660	476[2]
GDP by sector Agriculture	8.7[12]	6.2[9]	7.0	6.5	17.7	15.0	5.9[9 11]	6.4[10]	32.2[12]	3.0[14]	2.9[11]	19.5[2]
Industry	39.1[12 13]	50.9[9]	41.6	38.6	42.8	35.3	45.2[9 11]	49.6[10]	27.4[12]	45.8[14]	35.8[11]	42.5[2]
Other	52.2[12 13]	42.9[9]	51.4	54.9	39.7	49.6	48.9[9 11]	44.0[10]	40.5[12]	51.3[14]	61.3[11]	38.0[2]
GNP[12] annual volume growth	12.5	7.8	5.1	4.7	4.4	7.7	5.8	5.4	6.2	1.3	2.8	..
	10.8	3.2	5.1	4.8	6.3	6.6	3.8	3.6	6.8	2.2	4.6	..
INDICATORS OF LIVING STANDARDS												
Private consumption per head	840	1 300[9]	1 220	1 410	430	600	1 790[2]	1 740	..	1 230	2 850	275[2]
Expenditure on education	4.54[17]	5.00[18]	6.71	5.81	1.44[17]	2.14[2]	7.80[2]	6.30	3.70	4.15[17]	5.10	4.59
Dwellings completed, per 1 000 inhabitants	11.9	..	9.7	8.8	4.3	6.4	13.4	8.6	3.3	7.7	7.7	6.4
Passenger cars[22], per 1 000 inhabitants	52	235	165	166	37	50	253	206	4	196	410	28
Television sets[23], per 1 000 inhabitants	190	131	197	175	29	84	288	143	0	263	392	64
Telephones[23], per 1 000 inhabitants	204	281	216	284	65	105	478	417	12	218	523	31
Doctors[23], per 1 000 inhabitants	1.09[24]	1.01	1.14	1.24	0.81[24]	1.30	1.13	1.29	0.36	1.15	1.58	1.10
GROSS FIXED INVESTMENT[25] Total	34.3	29.4[27]	26.6	29.9	19.2	24.4	24.0	27.6	17.0	18.3	16.7[28]	..
Machinery and equipment	27.9[29]	11.2[27]	12.2	15.7	6.9	12.3	8.1	9.2	..	8.9	6.9[29]	..
Residential construction	6.3	18.2[27 30]	5.3	4.4	4.2	4.7	6.1	7.1	3.6	3.7	3.6	..
Other construction	— [29]	— [30]	9.1	9.8	8.1	7.5	9.7	11.3	..	5.7	6.2	..
GROSS SAVING	36.7	28.0[27]	27.1	28.5	..	22.9	23.9	28.0	..	18.2	18.5	..
PUBLIC SECTOR[28] Total current revenue	21.2	36.0[9]	41.9	43.4	..	22.4	48.1[2 33]	28.1	..	39.0	31.5	32.6[2]
WAGES/PRICES Hourly earnings[34]	12.9[41]	..	8.8[42]	8.3[42]	8.4[35]	13.7[44]	8.6[45]	5.0[46]	..	6.0[47]	4.8[36]	..
Consumer prices	5.2	2.8	5.0	3.7	5.8	6.5	4.0	3.4	7.4	4.3	3.4	14.9
GNP deflator	4.5	2.4	5.1	3.9	4.3	6.1	4.3	3.9	4.4	4.3	3.3	..
FOREIGN TRADE Imports[48]	14 128	546[9]	11 472	3 798	1 418	4 031	6 078	5 357	..	23 535	48 078	1 991[9]
	10.0	77.2[9]	45.5	42.1	28.3	15.6	23.8	31.1	..	22.9	5.5	21.0[8]
Exports[48]	15 353	559[9]	11 586	3 958	1 267	3 360	5 920	6 161	..	23 847	50 594	1 875[9]
	10.8	79.0[9]	45.9	43.9	25.3	13.0	23.1	35.8	..	23.2	5.7	19.7[9]
BALANCE OF PAYMENTS Current balance	0.5	–2.1[37]	–0.3	–1.0	..	–1.5	–0.8	0.5	..	–0.5	0.4	..
Official reserves, end-1969: per cent of a year's imports[49]	20.2	—	19.0	21.2	109.9	19.8	10.1	61.4[50]	32.5	12.7	40.6	11.9
Change	718	—	234	86	56[51]	521	33	516	221	220	–2 645	–161
NET FLOW OF RESOURCES TO DEVELOPING COUNTRIES[52]	0.76	—[53]	1.34	0.78	1.74	—[54]	0.77	0.64	— [54]	0.97	0.49	— [54]
EXPORT PERFORMANCE[55] Gains in losses	10.4	—	0.5	–1.5	–1.0	4.6	0	–2.0	–8.1	–1.2	–4.5	..
of market shares	7.6	—	0.7	1.9	1.2	2.3	–0.2	0.5	–4.6	–3.3	–1.6	..

1 Does not include total net migration between Finland and the other Nordic countries.
2 Relates to 1968.
3 Relates to 30-6-1969.
4 National source.
5 Relates to 1958-1968.
6 Relates to 30-6-59 - 30-6-69.
7 According to the definition used in OECD Labour Force Statistics: mining, manufacturing, construction and utilities (electricity, gas and water).
8 At current prices and exchange rates.
9 Refers to 1967.
10 The estimates for GDP by sector for Switzerland have been published in "la Vie économique", November 1969.
11 GDP at market prices.
12 Net domestic product.
13 Electricity, gas and water works included in "other activities"
14 Including stock appreciation.
15 At constant (1963) prices.
16 Relates to 1962-1967.
17 Relates to 1965.
18 1969.
19 Relates to 1966.
20 Relates to 1964.
21 Including Luxembourg.
22 Relates to 1-1-1969.
23 Relates to 1-1-1968.
24 Relates to 1-1-1967.
25 At constant (1963) prices.
26 Excluding transfer costs of land and existing assets.
27 Relates to 1963-1967.
28 Government and government enterprise expenditure on machinery and equipment is included in government current expenditure.
29 "Other construction" included under "machinery and equipment". Work in progress on heavy equipment and ships for the domestic market are included in fixed asset formation.
30 "Other construction" included in "residential construction".
31 Including transfer costs of land.
32 General government.
33 Including depreciation.
34 Industry.
35 Monthly.
36 Manufacturing.
37 Including bonuses.
38 Hourly rates in manufacturing.
39 Hourly wages rates, unskilled workers.
40 Hourly rates in manufacturing, excluding family allowances.
41 Monthly earnings in manufacturing. Cash payments including bonuses, regular workers.
42 Hourly rates in industry, males.
43 Males.
44 Excluding family allowances.
45 Mining and manufacturing, males.
46 Hourly rates.
47 Hourly rates in manufacturing, males.
48 Goods and services, including factor income, 1968.
49 Imports of goods in 1969.
50 End-november 1969 official reserves.
51 Relates to December 1969-December 1970.
52 Relates to 1969. According to the DAC definition. Including flows to multilateral agencies.
53 Not Development Assistance Committee members.
54 Considered as a developing country for purposes of DAC reporting.
55 Values, percentage change. Figures are subject to many limiting factors. For a explanations see OECD Economic Outlook, simple definition December 1970, pp. 65 and 69.

NOTE Figures within brackets are estimates by the OECD Secretariat.

Sources: Common to all subjects and countries, except Yugoslavia (for special national sources see above): OECD: Labour Force Statistics, Main Economic Indicators, National Accounts, Observer, DAC and Statistics of Foreign Trade (Series A). Office statistique des Communautés européennes : Statistiques de base de la Communauté. IMF : International Financial Statistics.

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